



Life Assurance Sector Report

for the 12 Months Ended 31 December 2024



Disclaimer

- i. The Insurance and Pensions Commission (IPEC) has prepared this report exclusively for the informational purposes of stakeholders in the insurance sector, and may not be reproduced, redistributed, communicated to a third party, or relied upon by any other person for any other purpose without the Commission's prior written consent.
- ii. The Commission is not liable for any use of this report beyond the purposes stated above.
- iii. This report covers the life assurance and reinsurance business for the twelve months ended 31 December 2024, with figures drawn from unaudited accounts provided by regulated life assurers and reinsurers.
- iv. The data in this report is based on the International Financial Reporting Standard (IFRS) 17 – Insurance Contracts, which the industry has been adhering to since September 2023.
- v. Kindly note that all financial figures are in ZWG unless otherwise indicated.
- vi. The ZWG amounts are presented in nominal terms unless specified as real terms. There are no December 2023 ZWG comparatives due to the introduction of the new currency on 5 April 2024. For December 2023 comparatives, the Commission converted the ZWL amounts to the United States dollars using the official average exchange rate and the closing rate for that period. As a result, these figures may show distortions caused by exchange rate fluctuations.
- vii. The conversion of ZWG revenue and assets to US dollars was done using the average exchange rate of ZWG 18.0133 for the review period and the closing rate of ZWG 25.7985, respectively. It is important to note that the closing rate is higher than the average rate and this causes a difference between the Statement of Profit and Loss and the Statement of Financial

Position as income and expenses are converted at the lower rate (average rate), while assets and liabilities are converted at the higher rate (closing rate).

- viii. The data in this report is based on 12 direct life assurers and four (4) reassurers.
- ix. With the exception of the foreign currency business section, the amounts in this report are presented as US dollar equivalents, meaning they are not strictly in US\$.

Table of Contents

Abbreviations	6
Section A	8
1. Executive Summary	8
Section B	13
About the Commission	13
2 The Insurance and Pensions Commission Overview	13
Section C	18
3. Economic Overview Q4 2024	18
Section D	22
Performance of Life Assurance Companies	22
4. Life Assurance Sector Architecture	22
5. Performance in terms of Insurance Revenue	22
6. Insurance Revenue by Product	24
7. Not Taken Up Policies	25
8. Market Share	28
9. Foreign Currency Business	29
10. Reassurance	30
11. Asset Quality	31
12. Prescribed Assets	32
13. Liquidity and Earnings	32
14. Capitalisation	34
Section E	37
Performance of Life Reassurance Companies	37
15. Nature of The Reassurance Business	37
16. Performance in Terms of Reassurance Revenue	37
17. US\$ Business Revenue for Reassurers	37
18. Asset Quality	38
19. Prescribed Assets	38
20. Earnings	39
21. Market Share	39
22. Capitalisation	40
Section F	43
23. Complaints Handling and Penalties for Regulatory Breaches	43
Section G	45
24. Anti-Money Laundering and Combating the Financing of Terrorism and Proliferation Financing	45

List of Appendices

Section H	54
Appendix A1. Statement of Comprehensive Income for Life Assurers for the 12 Months Ended 31 December 2024.	54
Appendix A2. Statement of Financial Position for Life Assurers as at 31 December 2024.	55
Appendix A3. Statement of Comprehensive Income for Life Reassurers for the 12 Months Ended 31 December 2024 .	57
Appendix A4. Statement of Financial Position for Life Reassurers as at 31 December 2024.	58

List of Tables

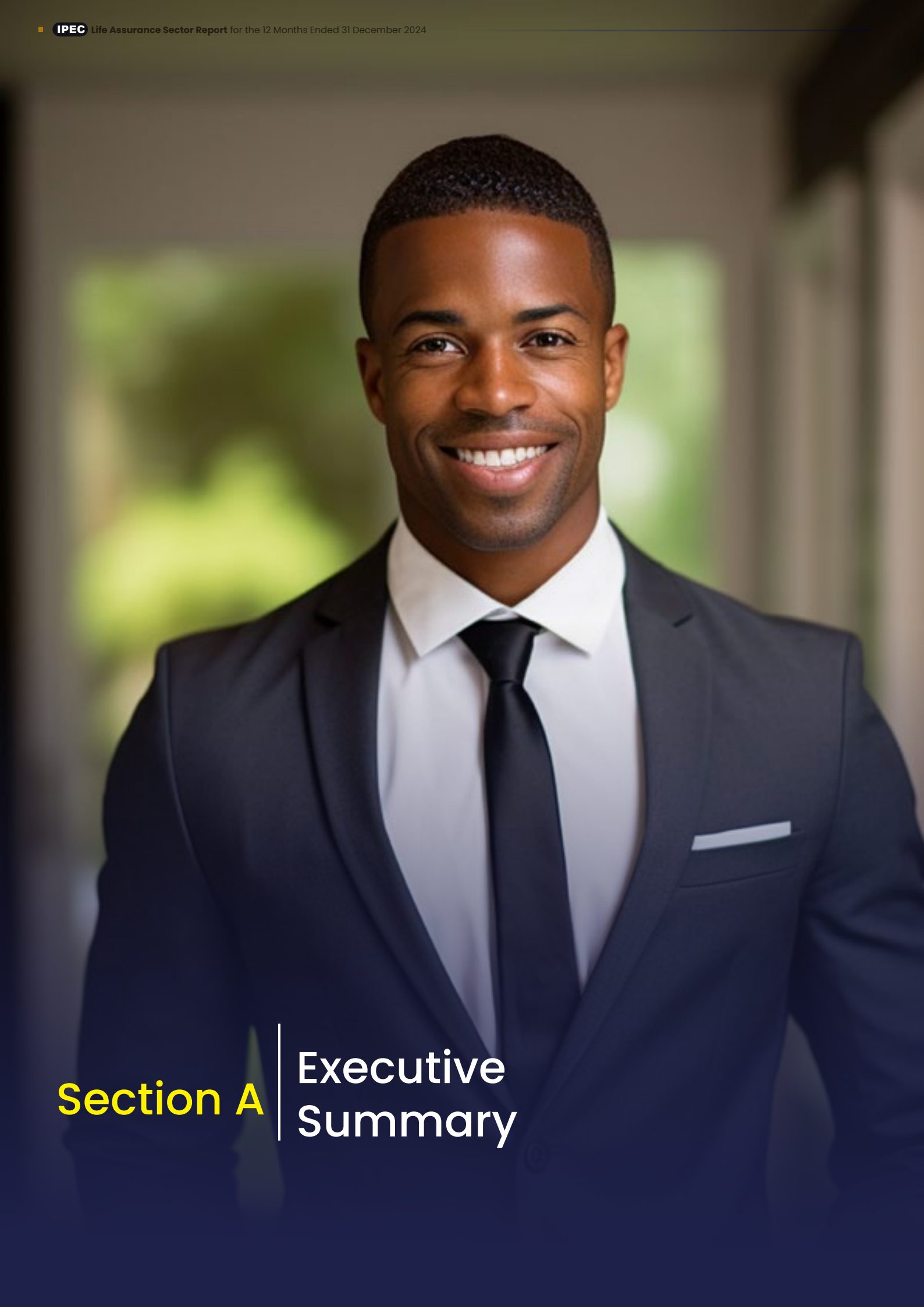
Table 1: Summary of Key Financial Indicators for Life Assurers	9
Table 2: Summary of Key Financial Indicators for Life Reassurers	10
Table 3: Circulars issued during the year ended 31 December 2024	14
Table 4: Insurance Revenue and Net Premium Written Per Company	23
Table 5: Distribution of Insurance Revenue by Product Line Per Company	25
Table 6: Not Taken Up Policies	26
Table 7: Lapse Ratios	27
Table 8: Expense Ratios	33
Table 9: Capitalisation of Reassurance Companies	41

Table of Figures

Figure 1: Inflation Rate (% monthly)	19
Figure 2: Average Exchange Rates in 2024	19
Figure 3: Distribution of Insurance Revenue by Product Line	24
Figure 4: Market Share in Terms of Insurance Revenue	28
Figure 5: Market Share by Assets	29
Figure 6: Market Share by US\$ Insurance Revenue	30
Figure 7: Assets Breakdown by Class	31
Figure 8: Composition of Income for Life Companies	34
Figure 9: Composition of Investment Income in Life Companies	35
Figure 10: Life Reassurers' Total Assets	38
Figure 11: Market Share by Reassurance Revenue	40
Figure 12: Market Share Distribution in Terms of Total Assets	40
Figure 13: Distribution of Complaints by Entity	43
Figure 14: Share of High-Risk Clients Business Written & Clients	45
Figure 15: Share of High-Risk Clients	46
Figure 16: Source of Funds	48

Abbreviations

IPEC	Insurance and Pensions Commission
IFRS 17	International Financial Reporting Standard (IFRS) 17
MCR	Minimum Capital Requirements
PA	Prescribed Assets as defined by the Insurance Act [Chapter 24:07]
S.I	Statutory Instrument
ZICARP	Zimbabwe Integrated Capital and Risk Programme

A portrait of a smiling man with short dark hair, wearing a dark blue suit, white shirt, and dark tie. He is standing in front of a blurred background of green foliage and a building. The image is used as a background for the report cover.

Section A | Executive Summary

SECTION A

EXECUTIVE SUMMARY

1. Executive Summary

- 1.1 As at 31 December 2024, the life assurance sector was composed of 12 direct life assurance companies, four (4) life reinsurance companies, and 1,506 life assurance agents.
- 1.2 The direct life assurers generated insurance revenue totalling ZWG3.15 billion, approximately US\$175 million, based on the average exchange rate for the year. Out of this total, US\$113.30 million (65%) came from business conducted purely in foreign currency.
- 1.3 The recurring business contributed 93% of the total insurance revenue, while new business accounted for just 7%.
- 1.4 The life assurance sector business was primarily driven by funeral assurance and group life assurance, which together generated 86.75% of the total revenue.
- 1.5 Three reassurers and one direct life assurer failed to meet the US\$ indexed Minimum Capital Requirements (MCR) of US\$2 million. As a result, the regulator urged the non-compliant entities to develop compliance roadmaps in preparation for enforcing the new USD-linked MCRs once the pending regulations are gazetted.
- 1.6 Direct life assurers' total assets decreased by 10% from the US\$ equivalent of US\$580.8 million on 31 December 2023 to US\$ equivalent of US\$521.24 million (ZWG13.45 billion) reported on 31 December 2024. The decrease is mainly due to the exchange rate movements.
- 1.7 The total assets reported by life reassurers amounted to US\$ equivalent of US\$8.71 million (ZWG224.59 million), reflecting an increase of 11% from US\$ equivalent of US\$7.85 million reported as at 31 December 2023. The increase was caused by fair value adjustments as well as new investments in asset classes like prescribed assets.

- 1.8 The average compliance ratio with prescribed asset requirements stood at 14.17% for life assurers and 29.55% for reassurers, compared to the statutory minimum of 15% of total assets. Four direct life assurers and two reassurers met the minimum statutory requirement. This marks an improvement from the previous quarter, where life assurers had a compliance rate of 13.16% and reassurers 17.69%. Despite the overall increase in compliance rates, the number of compliant reassurers decreased by one, while the number of compliant life assurers remained at four.
- 1.9 The nominal profit before tax for the life assurance sector was ZWG3.53 billion, representing US\$ equivalent of US\$196.14 million, using the average official exchange rate. This figure includes fair value adjustments of ZWG960.59 million (US\$53.33 million) from quoted and unquoted equity investments, thus translating to unrealised profit of 27%.
- 1.10 Life reassurers reported a nominal profit before tax of ZWG43.25 million for the review period, equivalent to US\$2.40 million. This profit includes fair value adjustments from equities amounting to -ZWG1.43 million (negative US\$0.08 million), calculated using the average exchange rate for the period.
- 1.11 Shown below are tables 1 and 2, which present the key financial indicators for life assurance and reinsurance companies.

Table 1: Summary of Key Financial Indicators for Life Assurers

KPI	Dec 2024	Dec 2024	Dec 2023	Percentage change
	ZWG million	US\$ million (equivalent)	US\$ million (equivalent)	
Insurance Revenue	3,152.37	175.00	161.22	9%
Insurance service expenses from contracts issued	1,881.54	104.45	120.62	-13%
Insurance service result	1,204.27	66.85	36.93	81%
Net investment result	3,552.88	197.24	498.73	-60%
Profit (Loss) before tax	3,533.08	196.14	422.13	-54%

KPI	Ratio Analysis			
	Dec 2024		Dec 2023	
Insurance Expense Ratio	18%		30%	-40%
Claims Ratio	42%		45%	-7%
Combined Ratio	60%		75%	-20%
Reassurance Ratio	2%		2%	0%
Lapse Ratio	19%		44%	-57%
KPI	Dec 2024	Dec 2024	Dec 2023	Percentage change
	ZWG million	US\$ million (equivalent)	US\$ million (equivalent)	
Total Assets	13,447.19	521.24	580.83	-10%
Total Liabilities	6,616.43	256.47	282.39	-9%
Shareholders' Equity	6,829.35	264.72	298.43	-11%
Capital to Liability Ratio	103.22%		105.68%	-2%
Prescribed Asset Ratio	14.17%		8.35%	6%

Table 2: Summary of Key Financial Indicators for Life Reassurers

KPI	Dec 2024 ZWG million	Dec 2024 US\$ million (equivalent)	Dec 2023 US\$ million (equivalent)	Percentage change
Insurance Revenue	131.12	7.28	5.39	35%
Insurance service expenses	86.10	4.78	2.86	67%
Insurance service result	32.01	1.78	1.78	0%
Net investment result	33.11	1.84	10.18	-82%
Profit (Loss) before tax	43.25	2.40	11.46	-79%
Ratio Analysis				
Expense Ratio	29%		32%	-10%
Claims Ratio	37%		21%	76%
Combined Ratio	66%		53%	24%

KPI	Dec 2024 ZWG million	Dec 2024 US\$ million (equivalent)	Dec 2023 US\$ million (equivalent)	Percentage change
Total Assets	224.59	8.71	7.85	11%
Total Liabilities	92.39	3.58	0.78	359%
Shareholders' Equity	132.20	5.12	7.07	-28%
Capital to Liability Ratio	143.09%		909.63%	-84%
Prescribed Asset Ratio	29.55%		2.88%	926%



Section B

About the Commission

SECTION B

ABOUT THE COMMISSION

2 The Insurance and Pensions Commission Overview

2.1 The Insurance and Pensions Commission (IPEC) is a statutory body mandated to regulate, supervise, and develop the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe.

Terms of Reference

2.2 The activities of the Commission are guided by the following Acts and their respective regulations:

- Insurance and Pensions Commission Act [*Chapter 24:21*]
- Pensions and Provident Funds Act [*Chapter 24:32*]
- Insurance Act [*Chapter 24:07*]
- Money Laundering and Proceeds of Crime Act [*Chapter 09:24*]
- Finance Act [*Chapter 23:04*]
- Public Entities and Corporate Governance Act [*Chapter 10:31*]
- Public Finance Management Act [*Chapter 22:19*] and
- Public Procurement and Disposal of Public Assets Act [*Chapter 22:23*]
- Administration of Estates Act [*Chapter 6:01*]

2.3. Regulatory Developments

2.3.1. Circulars

The Commission issued the following Circulars during the review period

Table 3: Circulars issued during the year ended 31 December 2024

Circular	Date of Issue	Purpose
Circular 1 of 2024	25/01/2024	Sectorial Assessment to inform Zimbabwe's Third Money Laundering National Risk Assessment.
Circular 2 of 2024	30/01/2024	Actuarial Society of Zimbabwe Guidance Note for S.I. 162 of 2023.
Circular 3 of 2024	05/02/2024	Settlement of Claims.
Circular 5 of 2024	06/06/2024	2023 Annual Reporting.
Circular 7 of 2024	25/04/2024	Data Call on All New Products Approved from January 2020 to Date.
Circular 8 of 2024	10/05/2024	Guideline On 2024 Currency Changes.
Circular 10 of 2024	17/06/2024	2024 IPEC AML/CFT/CPF Industry Training Calendar.
Circular 11 of 2024	27/06/2024	Amendments to Circular 8 of 2024- Guideline on the 2024 Currency Changes.
Circular 12 of 2024	02/07/2024	Guidelines to Funds on Conduct of Annual General Meetings.
Circular 13 of 2024	10/07/2024	Financial Intelligence Unit Directive on High-Risk Jurisdictions and Countries Under Increased Monitoring for Terrorist Financing and Proliferation Financing of Weapons of Mass Destruction.

Circular	Date of Issue	Purpose
Circular 14 of 2024	05/09/2024	Financial Intelligence Unit Directive on Implementation of Targeted Financial Sanctions.
Circular 15 of 2024	12/11/24	Standard for establishment and reregistration of Pension and Provident Funds.
Circular 16	24/10/2024	Financial intelligence unit directive on civil and administrative penalties on infringement of the money laundering and proceeds of crime (MLPC) Act.
Circular 17 of 2024	11/12/2024	Call to Update Institutional Risk Assessments.
Circular 18 of 2024	27/11/2024	Insurance and Pensions Commission Transition to Risk Based Supervision.
Circular 19 of 2024	27/11/2024	Amendment to the Risk Management and Corporate Governance Guidance Guideline for Pension Funds.
Circular 20 of 2024	14/11/2024	Amendments to Treating Customers Fairly Framework.
Circular 21 of 2024	21/11/2024	Invitation to participate in Digital Transformation Assessment.
Circular 22 of 2024	18/12/2024	Registration of Financial Statement Preparers with PAAB.
Circular 23 of 2024	12/12/2024	Implementation Plan for the Zimbabwe Mortality Tables: Key Requirements and Timelines.

Circular	Date of Issue	Purpose
Circular 24 of 2024	12/12/2024	Zimbabwe Integrating Capital and Risk programme (ZICARP) Reporting Requirements.
Circular 25 of 2024	12/12/2024	Issuance of Minimum Reinsurance Standards.
Circular 26 of 2024	12/12/2024	Issuance of a draft Market Conduct Framework for the Insurance and Pensions Industry.
Circular 28 of 2024	18/12/2024	Amendments of Circular 12 of 2023 (Funeral Directive).

Section C | Economic Overview



SECTION C

ECONOMIC OVERVIEW

3. Economic Overview Q4 2024

- Q4 2024 was a period of relative stability of macroeconomic fundamentals, particularly regarding inflation and exchange rates.
- Tight monetary policy, while creating some liquidity challenges, appears to have effectively achieved its primary goals.
- The Reserve Bank took steps to address liquidity issues including the deepening of the Willing - Buyer Willing - Seller (WBWS) market and accumulating reserves. The foundation laid in Q4 2024 is expected to support continued stability and growth in 2025.

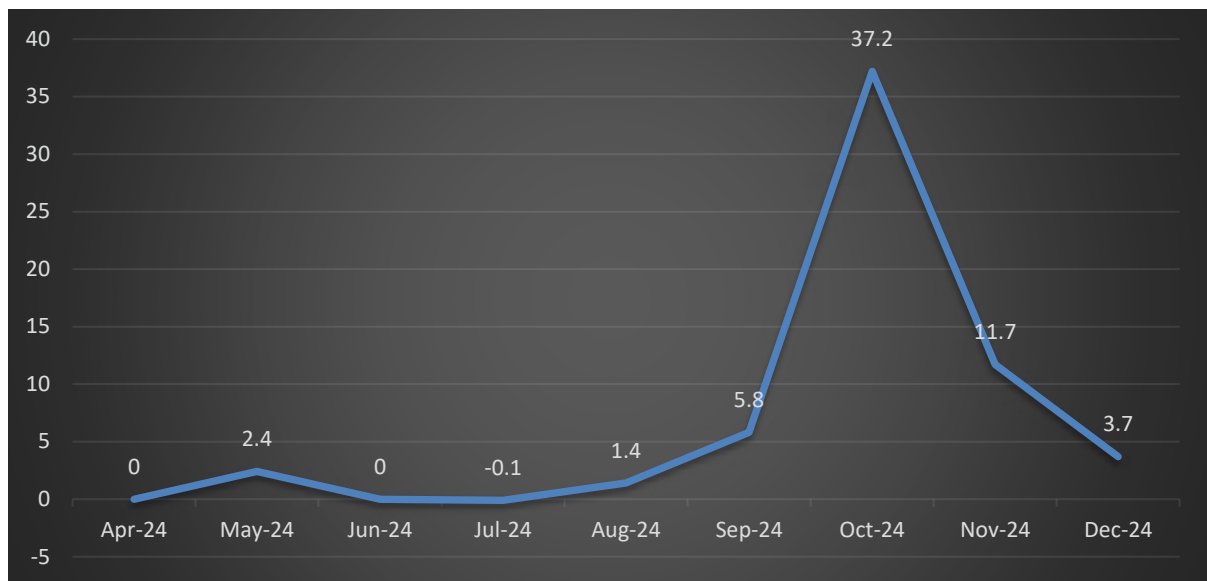
3.1. Domestic Macro-Prudential Analysis:

- Q4 2024 saw the economy experiencing inflation and exchange rate stability. This stability is attributed to the tight monetary policy stance maintained by the Reserve Bank of Zimbabwe during the quarter, including upward reviews of the Bank Policy Rate and statutory reserve requirements.
- Greater exchange rate flexibility in the interbank market, anchored by tight monetary conditions, also contributed to the stability. Strategic foreign exchange interventions by the Reserve Bank helped clear the market and ensure smooth foreign exchange flow.
- However, this tight monetary policy led to some temporary liquidity challenges, which the Reserve Bank addressed through an intra-day facility for banks and planned disbursements under the Targeted Finance Facility (TFF).

3.2. Inflation Developments:

The monthly ZWG inflation moderated in Q4 2024 due to tight monetary conditions. The data below showed a downward trend in inflation:

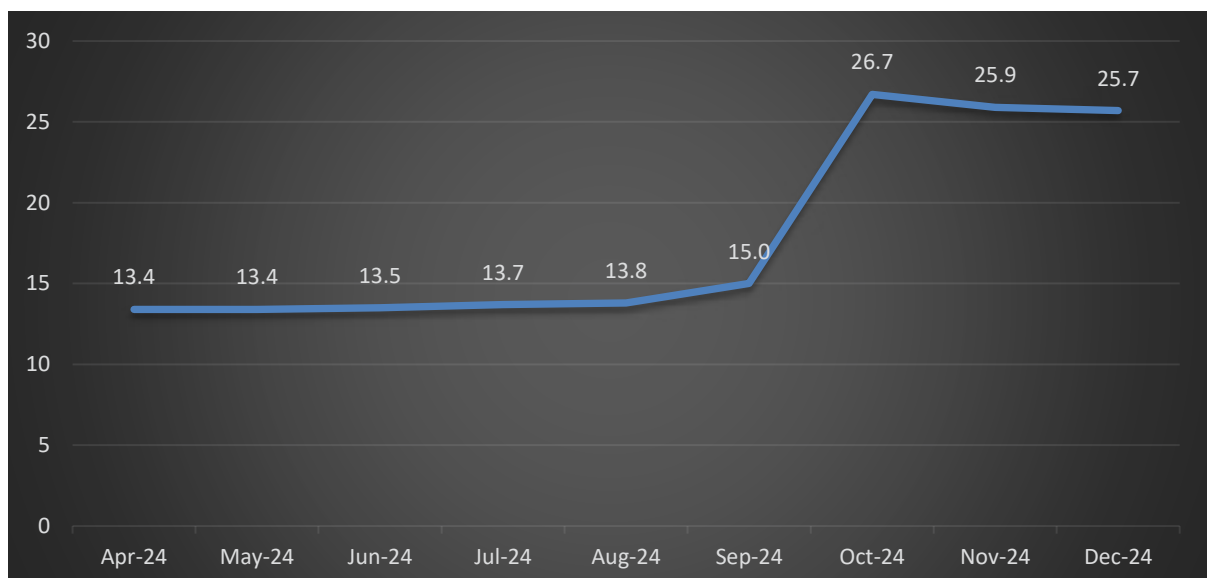
Figure 1: Inflation Rate (% monthly)



3.3. Exchange Rate Developments:

- The exchange rate stabilised in Q4 2024 following monetary policy measures implemented in late September.
- This stability is reflected in the narrowing of exchange rate premiums at the alternative market. The Reserve Bank deepened the Willing-Buyer Willing-Seller (WBWS) for the foreign exchange interbank market to enhance price discovery and market efficiency. The table below shows the data:

Figure 2: Average Exchange Rates in 2024



3.4. Stock Market Development (ZSE):

(a) Zimbabwe Stock Exchange (ZSE)

The introduction of the ZWG currency in April 2024 significantly influenced the Zimbabwe Stock Exchange (ZSE) performance between April and December 2024, resulting in these key trends:

- **Market Capitalisation:** The market capitalisation of the ZSE increased steadily from ZWG 28.6 billion in April to ZWG66. 24 billion in December 2024.
- **Turnover:** The turnover on the ZSE also showed significant growth, from ZWG16.6 million in April to ZWG 225.4 million in December 2024.
- **All-Share Index:** The All-Share Index, a key indicator of overall market performance, experienced a period of growth followed by a decline. The data indicated significant volatility in the ZSE All-Share Index during the period between April and December 2024.

(b) The Victoria Falls Stock Exchange Market (VFEX):

Information on specific VFEX performance in Q4 2024 is provided below as follows:

- **Market Capitalisation:** The market capitalisation of the VFEX increased from US\$1.207 billion in December 2023 to US\$1.279 billion in December 2024.
- **Turnover:** The turnover on the VFEX also showed significant growth, from US\$ 4.821 million in December 2023 to US\$19.704 million in December 2024.

Section D

PERFORMANCE OF LIFE ASSURANCE COMPANIES

SECTION D

PERFORMANCE OF LIFE ASSURANCE COMPANIES

4. Life Assurance Sector Architecture

- 4.1. During the review period, there were 12 registered life insurers.
- 4.2. These life insurers reported 1,506 agents, including corporate and individual representatives. This marked a 10% increase from the 1,367 agents recorded in December 2023.

5. Performance in Terms of Insurance Revenue

- 5.1. The direct life insurers reported insurance revenue of ZWG 3.15 billion, equivalent to US\$175 million, during the review period, converted using the average official exchange rate. This reflects a 9% increase from the equivalent of US\$161.22 million reported for the same period in 2023. The foreign currency business contributed 65% of the total insurance revenue.
- 5.2. Primary revenue drivers in the life assurance sector were funeral assurance and group life assurance and they jointly contributed 86.75% of the total revenue.
- 5.3. The proportion of funeral assurance and group life assurance to total revenue has been steadily increasing at the expense of traditional life assurance products.
- 5.4. An issue to also note is that the life assurance industry is moving long term products to pre-dominantly annually renewable products, as most funeral assurance policies and group life assurance policies being sold in the market are annually renewable. This is inconsistent with the spirit and intention of the Funeral Directive, particularly the protection of policyholders, hence the industry is called upon to comply with the Funeral Directive.
- 5.5. The table below shows the insurance revenue and net premium written per life company.

Table 4: Insurance Revenue and Net Premium Written Per Company

Company	Insurance Revenue Dec 2024 (ZWG Million)	Market Share (Insurance Revenue)	Net Premium Written Dec 2024 (ZWG Million)	Market Share (Net Premium Written)
Nyaradzo Life	1,449.27	45.97%	1,673.61	46.20%
Doves Life	437.45	13.88%	484.80	13.38%
First Mutual Life	319.43	10.13%	318.01	8.78%
Zimnat Life	224.17	7.11%	199.57	5.51%
Old Mutual Life	221.73	7.03%	225.78	5.14%
Fidelity Life	171.29	5.43%	350.90	9.69%
Econet Life	164.97	5.23%	156.84	4.33%
CBZ Life	99.22	3.15%	114.11	3.15%
ZB Life	43.80	1.39%	75.97	2.10%
Nhaka Life	13.92	0.44%	13.92	0.38%
Evolution Life	4.61	0.15%	6.17	0.17%
Heritage Life	2.52	0.08%	2.52	0.07%
Total	3,152.37	100.00%	4,393.46	100.00%

- 5.6. In terms of market share, Nyaradzo Life Assurance Company leads the life assurance sector, with a 45.97% market share, primarily driven by revenue from the funeral assurance business.
- 5.7. The combined revenue of the top five companies in the sector reached ZWG2.65 billion, equivalent to US\$147.23 million, based on the average interbank rate for the period.
- 5.8. The top five life assurers account for 84% of the sector's total revenue, highlighting a notable concentration of revenue among the leading five entities.
- 5.9. The Herfindahl-Hirschman Index (HHI) for the life assurance industry is 2,561, indicating a highly concentrated market. This suggests that a few dominant firms control a significant market share, leading to reduced competition.

6. Insurance Revenue by Product

- 6.1. Funeral assurance remains the dominant product within the life assurance sector, contributing 70.82% of total revenue. Group life assurance follows, generating 15.93% of total revenue.
- 6.2. The remaining 13.26% of revenue comes from other life insurance products, including endowment plans, term assurance, and whole-life policies.
- 6.3. Restoring consumer confidence is a key priority for the life insurance industry to reignite interest and uptake of long-term insurance products. The industry is urged to drive innovation by developing products that align with market needs.
- 6.4. The chart below depicts the revenue distribution across life assurance product lines, while the accompanying table provides a breakdown of insurance revenue by product line for each company.

Figure 3: Distribution of Insurance Revenue by Product Line

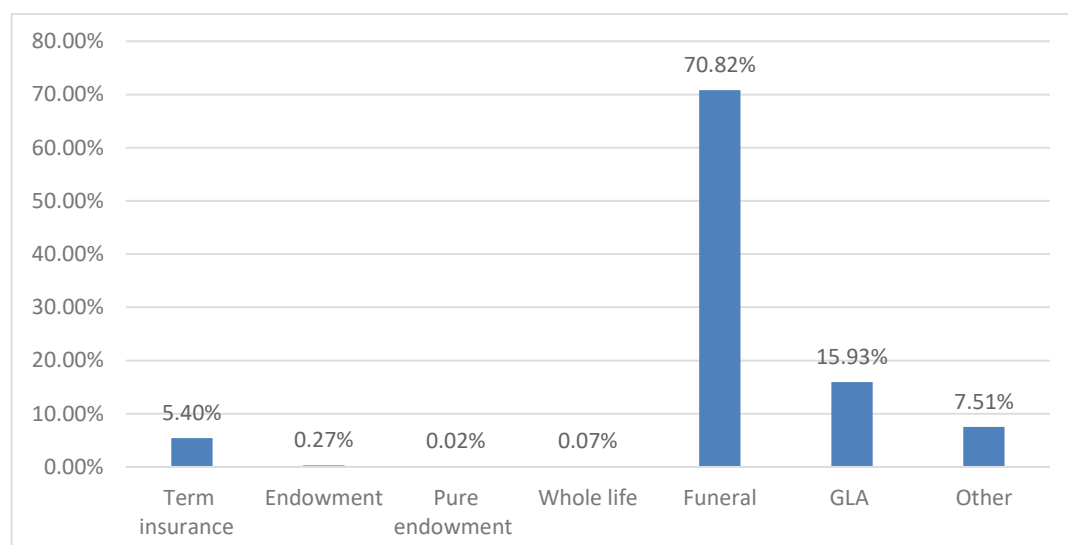


Table 5: Distribution of Insurance Revenue by Product Line Per Company

Company	Term insurance	Endowment	Pure endowment	Whole life	Funeral	GLA	Other	Total
ZWG Million								
CBZ Life	28.83	0.00	-	0.00	41.24	29.14	0.00	99.22
Doves Life	-	-	-	-	437.45	-	-	437.45
Econet Life	-	-	-	-	157.48	6.44	1.05	164.97
Evolution Life	-	-	-	-	4.61	-	-	4.61
Fidelity Life	0.02	0.11	0.02	0.00	2.54	23.13	145.46	171.29
First Mutual Life	125.51	-	-	-	35.86	111.05	47.02	319.43
Heritage Life	-	-	-	-	0.00	0.02	2.49	2.52
Nhaka Life	6.86	-	-	-	5.92	0.83	0.31	13.92
Nyaradzo Life	-	-	-	-	1,449.27	-	-	1,449.27
Old Mutual Life	-	-	-	-	22.36	164.61	34.76	221.73
ZB Life	- 5.01	0.16	-	13.64	11.23	45.44	5.62	43.80
Zimnat Life	14.13	8.38	-	15.80	64.47	121.39	-	224.17
Total	170.34	8.64	0.02	2.17	2,232.45	502.05	236.71	3,152.37

6.5. The leading five assurance companies primarily concentrate on funeral assurance and group life products. Nyaradzo Life and Doves Life focus solely on funeral assurance, whereas Old Mutual, Zimnat, and First Mutual specialise in group life assurance.

7. Not Taken Up Policies

7.1. During the quarter under review, the life assurance sector recorded a total of 23,950 Not Taken Up (NTU) policies, with projected insurance

revenue amounting to ZWG171.41 million (US\$ equivalent US\$9.52 million). See table below

Table 6: Not Taken Up Policies

Name of Company	Number of Policies	Insurance Revenue - ZWG Million
Econet Life	9,520	164.97
Doves Life	7,351	1.67
ZB Life	3,429	0.59
Zimnat Life	3,190	3.39
Fidelity Life	422	0.66
Old Mutual Life	38	0.12
Total	23,950	171.40

7.2. Econet Life Assurance recorded the highest number of NTUs, followed by Doves Life Assurance. This may indicate the need for both companies to review and improve their customer onboarding processes and product offerings.

7.3. Assurers are urged to closely monitor how agents present their products to prospective clients to avoid misrepresentation. This highlights the importance of consumer education programs, both within individual companies and across the industry as a whole, in the life assurance sector.

Lapsable Policies

7.4. The life assurance sector had 1,674,882 lapsable policies at the beginning of the fourth quarter of 2024. During the quarter, 318,193 policies lapsed, leading to a lapse ratio of 19%, a decline from 44% reported in the same period in 2023.

7.5. The relatively low lapse rate suggests a higher rate of renewals, reflecting an above-average persistency ratio.

7.6. Policy lapses are primarily caused by affordability issues and changes in policyholders' circumstances. The Commission expects assurers to maintain effective communication with policyholders before their policies lapse.

7.7. The table below shows the lapse ratio per entity: -

Table 7: Lapse Ratios

Name of Company	No. of Lapsable Policies at the Beginning of the Quarter	Lapsed Policies (Individual Life)	Lapsed Policies (Group Business)	Lapse Ratio
ZB Life	30,030	2,400	-	8%
Econet Life	674,812	236,913	258	35%
Doves Life	202,032	5,406	37,776	21%
Nhaka Life	868	85	-	10%
Old Mutual Life	87,454	5,777	-	7%
Zimnat Life	61,331	3,090	-	5%
Nyaradzo Life	544,672	18,846	6,850	5%
CBZ Life	43,820	363	-	1%
Fidelity Life	55,006	69	-	0%
Evolution Life	-	-	-	0%
First Mutual Life	-	360	-	0%
Heritage Life	1,857	-	-	0%
Total/ Average	1,701,882	273,309	44,884	19%

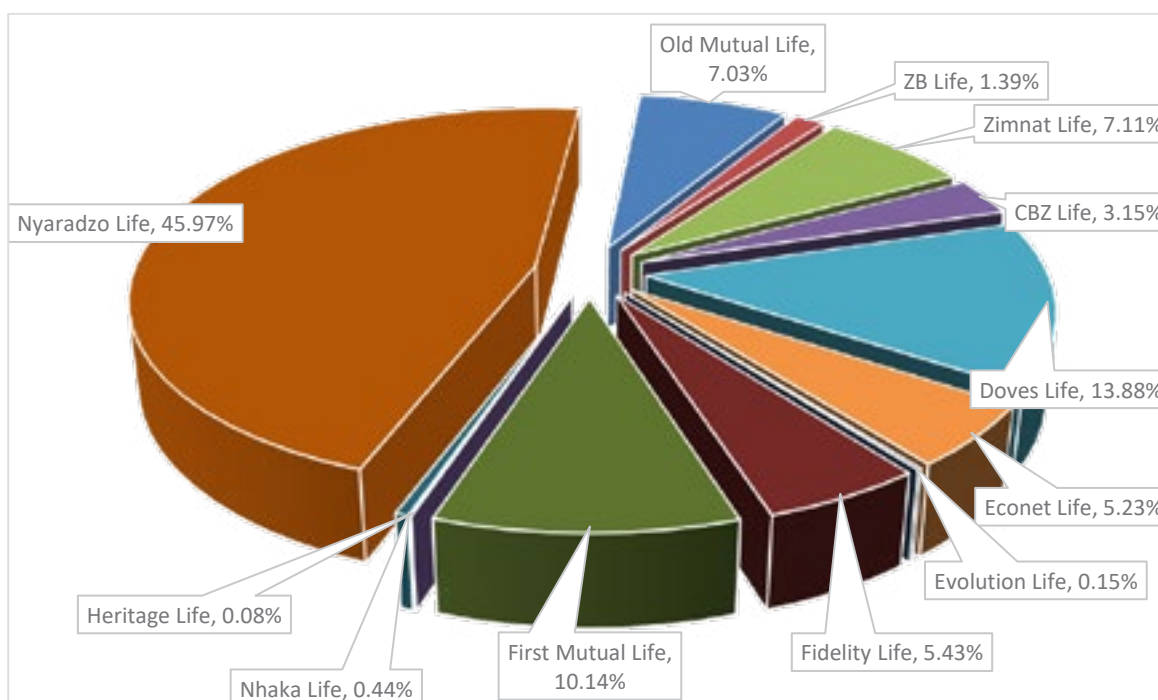
7.8. During the review period, ZB Life, Econet Life, and Doves Life experienced lapse ratios exceeding 10%. This was primarily due to policyholders facing financial difficulties and changing insurance needs, leading to policy cancellations. It is advised that these companies carry out experience investigations to identify the causes of the lapses and develop strategies to lower the lapse rates.

8. Market Share

8.1. In terms of revenue, Nyaradzo Life and Doves Life dominate the life insurance sector, holding a combined market share of 59.85%, while the remaining insurers share the remaining 40.15% of the market.

8.2. The Figure below shows the market share for the sector in terms of revenue.

Figure 4: Market Share in Terms of Insurance Revenue



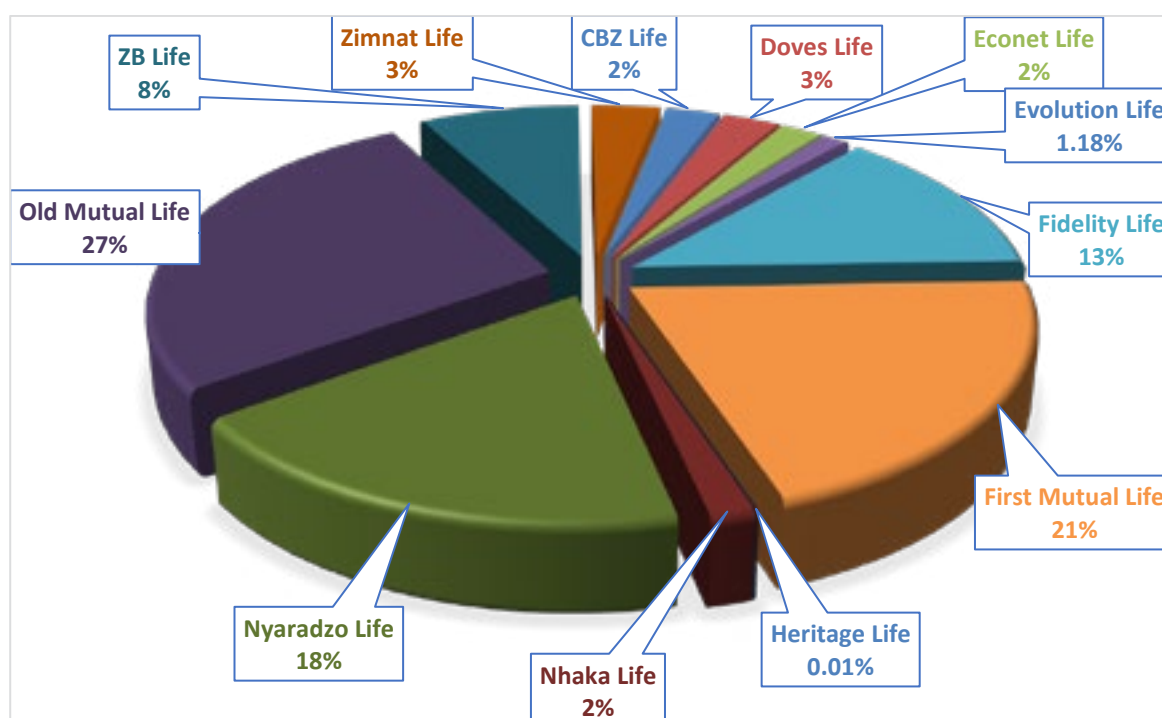
8.3. To drive the growth of the industry, industry players should focus on creating products that are tailored to the current market conditions and changing consumer needs. Overdependence on the funeral assurance business may not be a viable long-term strategy.

Market Share by Asset

8.4. Old Mutual and First Mutual Life dominate the life assurance sector in terms of assets, holding a combined 48% market share, while the remaining entities share the remaining 52%.

8.5. The chart below presents the distribution of market share by entity based on assets.

Figure 5: Market Share by Assets



8.6. Life assurance companies should maintain a robust asset base with suitable tenures and liquidity profiles to ensure they can meet their liabilities as they become due.

9. Foreign Currency Business

9.1. During the review period, the life assurance sector generated foreign currency revenue totalling US\$113.30 million, marking a 119% real increase from the US\$51.86 million recorded for the same period in 2023.

9.2. The increase in foreign currency business is primarily attributed to policyholders shifting from local currency-denominated policies to

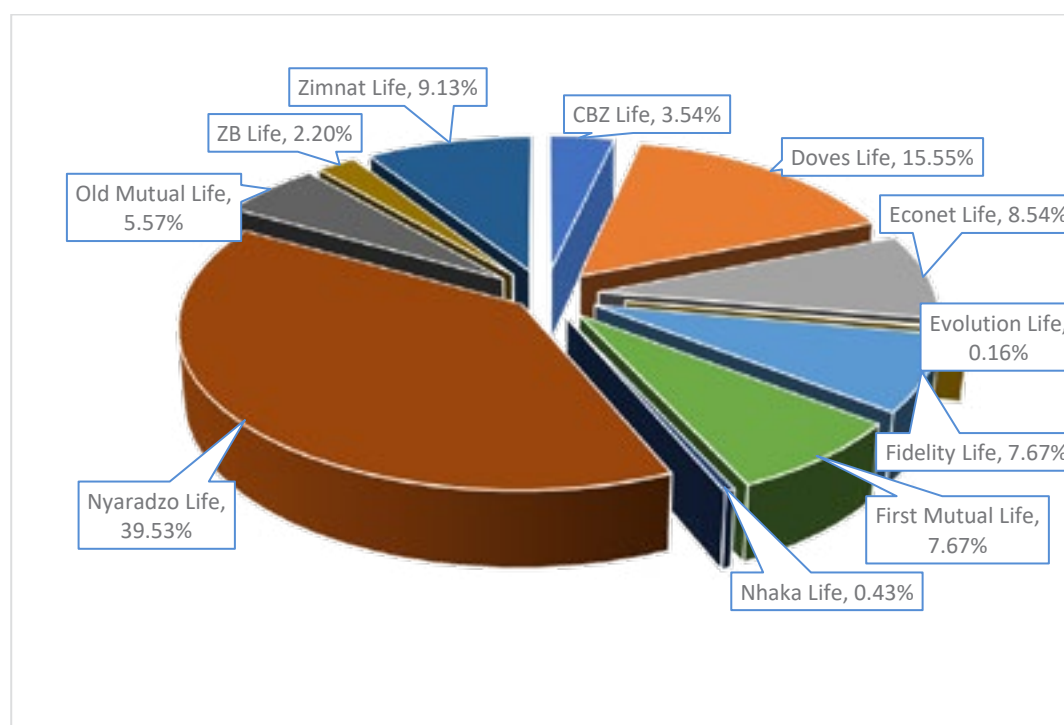
foreign currency policies, as a significant portion of the business is recurring.

9.3. During the period under review, foreign currency business accounted for 65% of total revenue, representing a 103% increase from the 32% recorded during the same period in 2023.

9.4. In accordance with SI 280 of 2020, assurance companies are reminded to invest foreign currency premiums in foreign currency assets and settle claims in foreign currency.

9.5. The figure below presents a breakdown of foreign currency business written by each life assurance company.

Figure 6: Market Share by US\$ Insurance Revenue



9.6. Nyaradzo Life holds the largest share of foreign currency business at 39.53%, due to its dominant market share within the life assurance sector.

10. Reassurance

10.1. The life reinsurance industry reinsured ZWG77.16 million (US\$4.28 million) of the total business written, resulting in a reinsurance ratio of 2%.

10.2. The low ratio is primarily attributed to the dominance of the funeral assurance business, which offers funeral services as a benefit and is

typically not reinsured. Additionally, the annual renewable policies issued by industry players are often not reinsured.

10.3. Reinsurance continues to be an essential risk management tool, providing capital management by transferring a portion of the underwritten risks to reinsurers. This process helps insurers maintain financial stability and manage their risk exposure more effectively.

10.4. Life assurance companies should assess their risk retention abilities and obtain reinsurance where needed.

10.5. Life insurance companies should evaluate their risk retention capacities and get reinsurance when necessary to ensure financial stability and effective risk management.

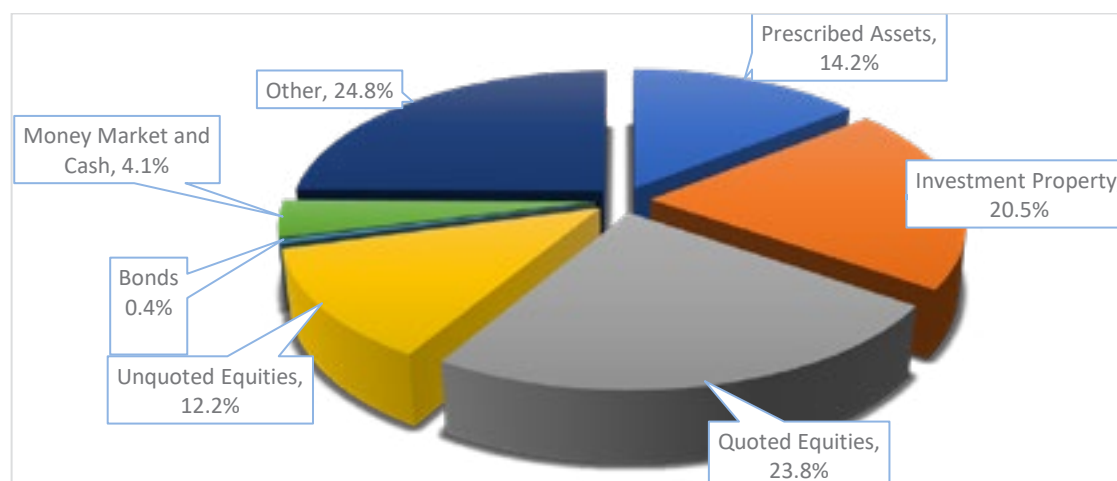
11. Asset Quality

11.1. The life assurance sector reported total assets of ZWG13.45 billion (about US\$521.24 million), marking a 10% decrease from the US\$580.8 million on 31 December 2023.

11.2. Life assurance companies primarily invest in quoted equities and investment properties, which collectively account for 44.3% of their total assets. These investments are considered more suitable in uncertain conditions due to their favourable risk and return profiles.

11.3. The figure below shows the distribution of assets for the life assurance sector by class.

Figure 7: Assets Breakdown by Class



11.4. Other assets include insurance assets (0.63%), reinsurance assets, operating assets (10%), and other current accounts (14.17%).

11.5. Careful consideration is necessary to ensure that the nature of assets held are in line with the liabilities profile.

12. Prescribed Assets

12.1. The life assurance sector's total investments in prescribed assets amounted to ZWG1.91 billion, equivalent to US\$73.84 million. This represents an average compliance level of 14% for the period under review, marginally falling short of the minimum required ratio of 15%.

12.2. Four out of twelve life assurance companies namely, CBZ Life, Nhaka Life, Econet Life, and Fidelity Life met the minimum prescribed asset ratio of 15% of total assets.

12.3. The Commission expects the sector to invest in prescribed assets to adhere to the established minimum prescribed asset thresholds.

13. Liquidity and Earnings

13.1. The life sector reported a positive insurance result of ZWG1.20 billion (US\$66.85 million), indicating an underwriting profit from core insurance operations.

13.2. The current ratio for life insurers stood at 5:1, showing that the industry holds liquid assets well in excess of short-term contractual obligations and other immediate liabilities.

13.3. Depending on the nature of the liquid assets held, the ratio may also indicate that excess liquidity that can be deployed elsewhere to earn higher returns might be tied in low return assets.

13.4. The average combined ratio for life insurers was 60%, highlighting the sector's profitability. The ratio breakdown includes a claims ratio of 42%, a commission ratio of 6%, and an expense ratio of 12%, thereby giving an insurance expense ratio of 18%.

13.5. The profit before tax for the review period was ZWG3.53 billion, mainly driven by fair value gains on quoted equities. When converted using the average exchange rate for the period, this equates to US\$196.14

million, a 52% decrease from US\$407.55 million in the same period last year.

13.6. Investment income was the primary driver of profit for life companies, making up a significant portion of total revenue.

13.7. The table below summarises the expenses, claims, and combined ratio for the life sector.

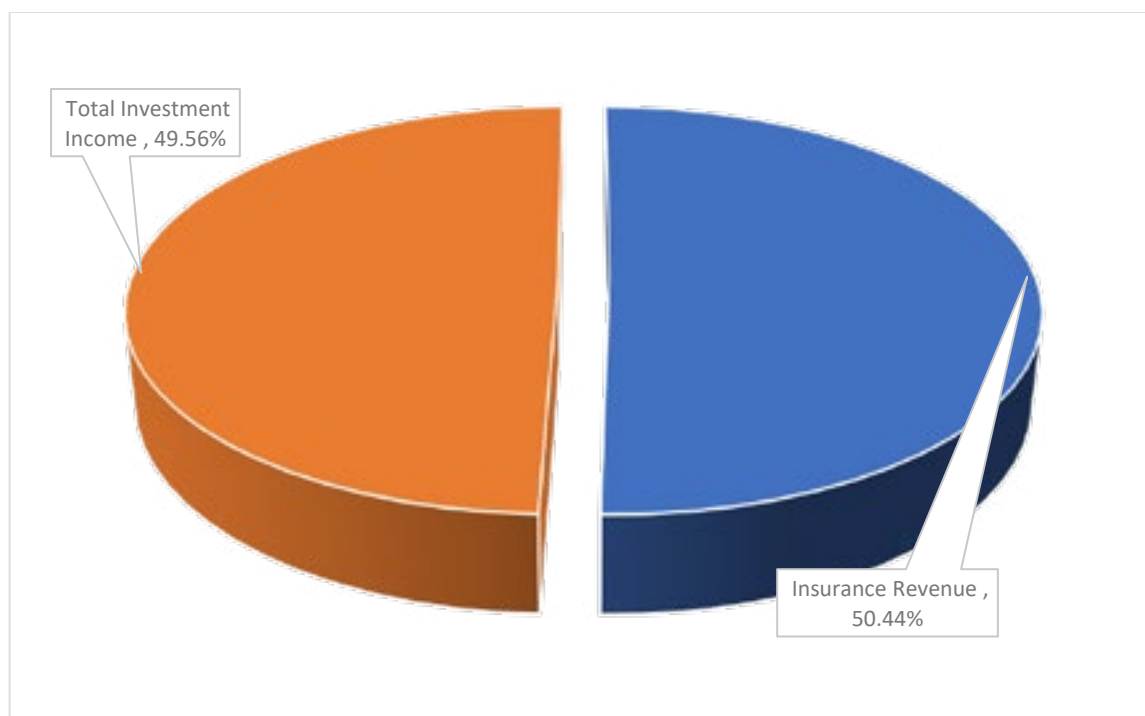
Table 8: Expense Ratios

Company	Expenses Ratio	Claims Ratio	Combined Ratio
CBZ Life	47%	27%	74%
Doves Life	18%	35%	53%
Econet Life	43%	60%	103%
Evolution Life	82%	21%	103%
Fidelity Life	28%	21%	49%
First Mutual Life	29%	22%	51%
Heritage Life	0%	9%	9%
Nhaka Life	1%	26%	27%
Nyaradzo Life	7%	57%	64%
Old Mutual Life	22%	17%	39%
ZB Life	66%	34%	100%
Zimnat Life	12%	31%	43%
Total	18%	42%	60%

13.8. Most life companies reported combined ratios of less than 100%, which is commendable, except for Econet Life, Evolution, and ZB Life, which recorded combined ratios of 103%, 103%, and 100%, respectively.

13.9. The figure below shows the distribution of revenue for the sector.

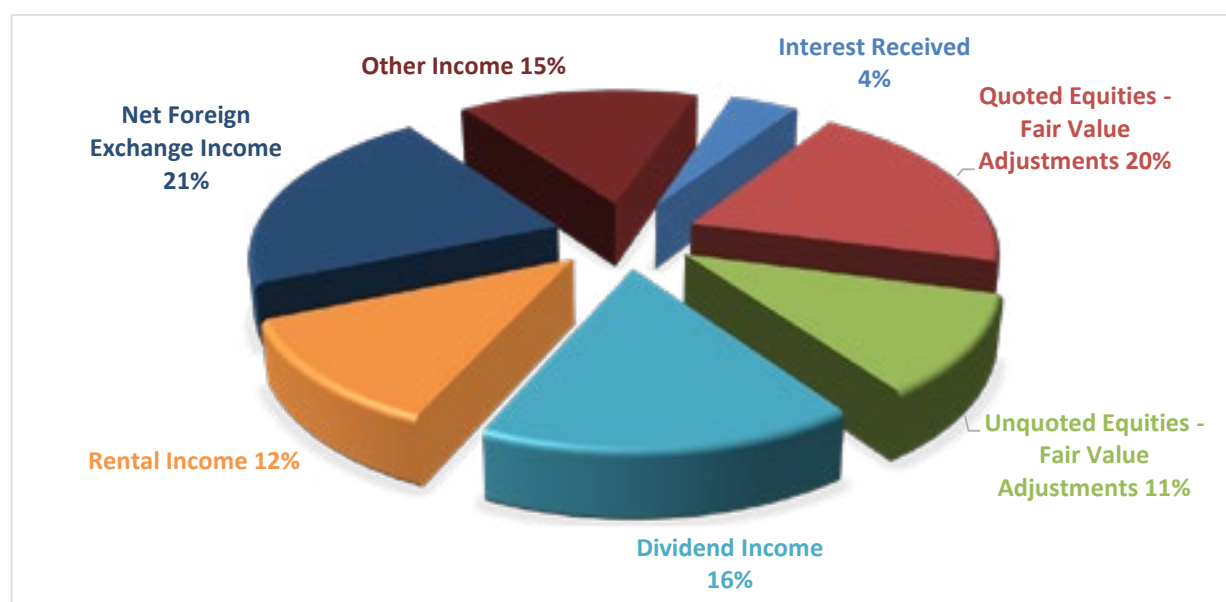
Figure 8: Composition of Income for Life Companies



13.10. Total revenue is nearly evenly split, with 50.44%, coming from insurance revenue and 49.56% from investment income. This is an improvement from the previous quarter, where investment income was the dominant source.

13.11. Earnings from fair value adjustments on gold coins, contract fees, gains from the sale of equities, commission income, fund administration fees, and other income sources made up the other investment income.

Figure 9: Composition of Investment Income in Life Companies



14. Capitalisation

14.1. By 31 December 2024, eleven life assurance companies had met the US\$-linked Minimum Capital Requirement (MCR) of US\$2 million, which is still pending official gazetting, while one company had not yet met the MCR.

14.2. A ZICARP-based Solvency Stress Testing Framework is currently being developed to guide stress tests on the balance sheets of all life insurance firms. These tests are designed to evaluate how each company's financial position would respond to potential shocks impacting their operations.



Section E

Performance of Life Reassurance Companies

SECTION E

PERFORMANCE OF LIFE REASSURANCE COMPANIES

15. Nature of the Reassurance Business

Life reinsurers are authorised to underwrite both life and non-life business. However, the statistics in this section focus exclusively on their life assurance activities, except for their capital positions, which encompass both life and non-life business.

16. Performance in Terms of Reassurance Revenue

16.1. During the period under review, life reinsurers recorded insurance revenue of ZWG131.12 million, which amounts to US\$7.28 million based on the average interbank exchange rate for the review period.

16.2. Reinsurers' insurance revenue grew by 135%, rising from US\$3.10 million reported during the corresponding period in 2023.

16.3. Group life assurance was the leading contributor to reassurance business revenue, accounting for 62% of the total revenue generated by reinsurers.

16.4. Reassurance companies recorded a positive insurance service result of ZWG32.01 million, equivalent to approximately US\$1.78 million.

17. US\$ Business Revenue for Reinsurers

17.1. For the period ended on 31 December 2024, life reassurance companies recorded foreign currency business totalling US\$6.26 million, accounting for 86% of total insurance revenue. This highlights that a substantial portion of the business underwritten by reinsurers is in foreign currency.

17.2. Insurance revenue increased by 111%, up from US\$2.97 million reported during the corresponding period in 2023.

17.3. The total insurance service result for life reinsurers was US\$1.49 million, reflecting an underwriting profit for the review period and an increase of 39% from US\$1.07 million reported in December 2023.

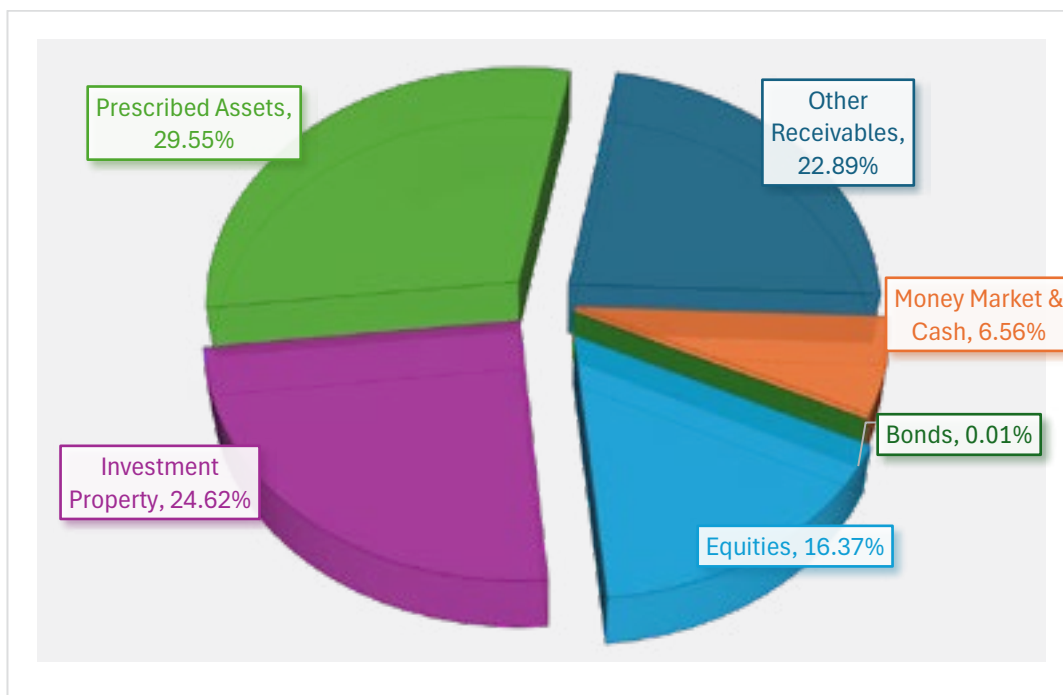
17.4. The profit-before-tax reported for the period under review was US\$1.16 million. This represents a 69% increase from US\$0.69 million reported on 31 December 2023.

18. Asset Quality

18.1. The total assets for life reassurers amounted to ZWG224.59 million, equivalent to US\$8.71 million, reflecting an 11% increase from the US\$7.85 million reported as of 31 December 2023. The increase is a result of fair value adjustments and new investments in asset classes such as prescribed assets

18.2. The figure below illustrates the distribution of assets for life reassurers

Figure 10: Life Reassurers' Total Assets



18.3. Of the total assets reported by reassurers, prescribed assets represented the largest asset class, accounting for 29.55% of the sector's assets. Investment property made up 24.62%, while other receivables contributed 22.89% of the total assets.

19. Prescribed Assets

19.1. The life reinsurance sector's total investments in prescribed assets amounted to ZWG66.36 million, equivalent to US\$2.57 million using the

closing rate for the period. This reflects an average compliance ratio of 29.95% for the sector, well above the prescribed asset threshold of 15%. The increase in the average compliance ratio was primarily driven by investments in treasury bills during the review period.

19.2. Emeritus Re and FM Re were the only companies in the reinsurance industry that did not meet the required minimum prescribed asset threshold of 15%.

19.3. The emphasis on investing in prescribed assets remains a national priority, and as such, reinsurers are encouraged to persist in participating in developmental projects that align with prescribed asset requirements and compliance standards.

20. Earnings

20.1. The profit-before-tax reported for the period under review was ZWG43.25 million, which is US\$2.40 million in US\$ terms. The profit was mainly generated from investment income. As reported earlier under direct life insurers, most of the income for reinsurers was also from investments rather than their primary insurance operations.

20.2. For the review period, reinsurers reported a claims ratio of 37%, while the expense ratio stood at 29%, leading to a combined ratio of 66%.

21. Market Share

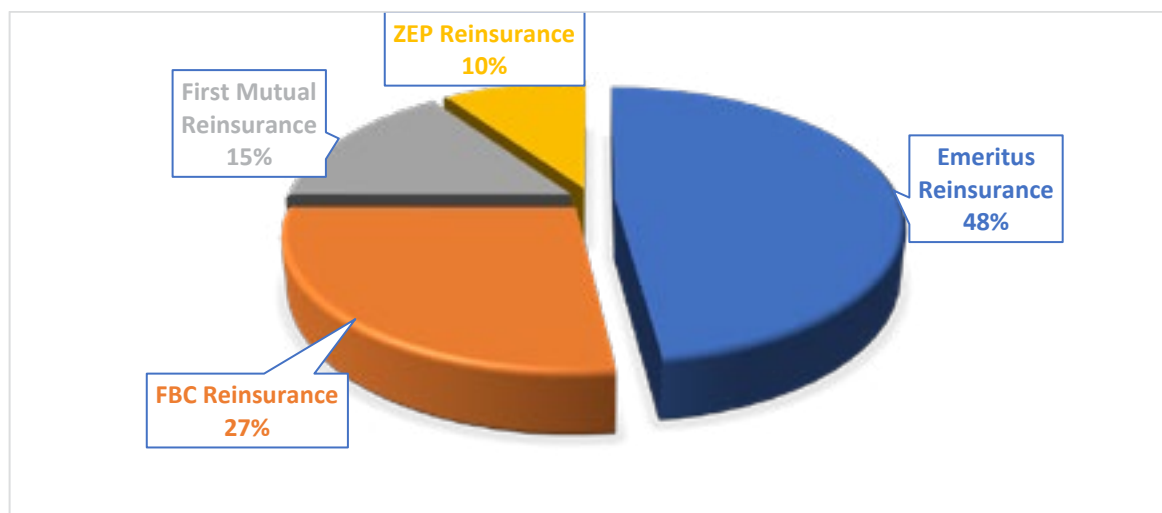
Market Share by Reinsurance Revenue

21.1. Regarding revenue market share, Emeritus Re ranked first with 48%, followed by FBC Re at 27%, First Mutual at 15%, and ZEP Re at 10%.

21.2. For the period ended 31 December 2024, all reinsurers reported positive insurance results.

21.3. The distribution of market share within the reinsurance sector, based on reinsurance revenue, is illustrated in the figure below:

Figure 11: Market Share by Reinsurance Revenue

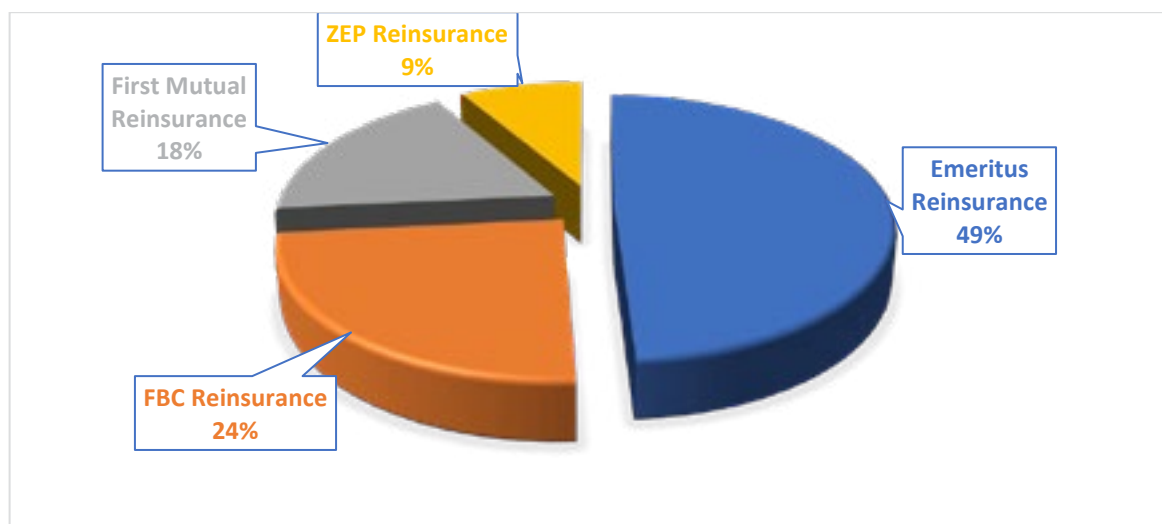


Market Share in Terms of Total Assets

21.4. Emeritus Re held the largest share at 49% in the reinsurance sector. FBC Re followed with 24%, while the remaining share was divided between First Mutual Re at 18% and ZEP Re at 9%.

The breakdown of market share by value of assets is shown in the figure below:

Figure 12: Market Share Distribution in Terms of Total Assets



22. Capitalisation

22.1. Among all reinsurance companies, Emeritus Re is the only one that complied with the US\$2 million capital requirement, which is still awaiting gazetting.

22.2. The other three reinsurers did not meet the proposed minimum capital requirements. They are expected to formulate compliance strategies to align with the new capital framework once the relevant regulations are gazetted.

22.3. The table below displays the current capitalisation levels for the reinsurance companies.

Table 9: Capitalisation of Reinsurance Companies

Name of Company	Capital - ZWG Million	US\$2 Million Equivalent
	Dec-24	Dec-24
Emeritus Reinsurance	58.22	2.26
First Mutual Reinsurance	45.68	1.77
FBC Reinsurance	22.17	0.86
ZEP Reinsurance	6.13	0.24



Section F

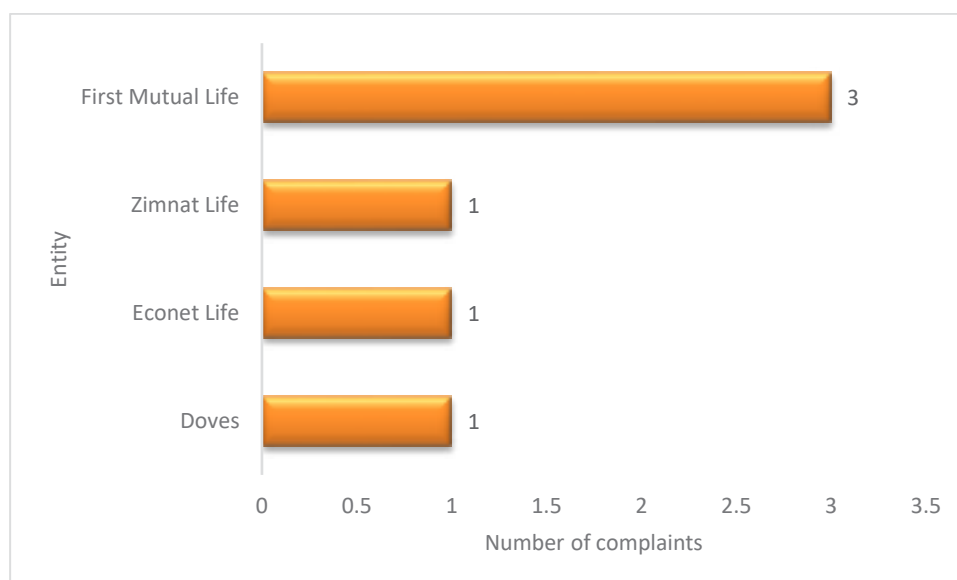
Complaints Handling and Penalties for Regulatory Breaches

SECTION F

23.COMPLAINTS HANDLING AND PENALTIES FOR REGULATORY BREACHES

- 23.1. During the period under review, there were 6 complaints against life insurers, a decrease from 17 which were recorded in the previous quarter.
- 23.2. The sources of complaints included unpaid benefits, partial payment of benefits and lack of communication.

Figure 13: Distribution of Complaints by Entity



- 23.3. First Mutual Life had the highest number of life policy complaints that were received from the quarter under review, with 3 complaints which constituted 50% of the complaints received during the quarter.
- 23.4. During the period under review, all six complaints received were classified as non-complex and were resolved.

Section G

ANTI-MONEY LAUNDERING AND COMBATING THE FINANCING OF TERRORISM AND PROLIFERATION FINANCING

SECTION G

24. ANTI-MONEY LAUNDERING AND COMBATING THE FINANCING OF TERRORISM AND PROLIFERATION FINANCING

24.1. All 12 life assurance companies submitted their fourth-quarter 2024 AML/CFT/CPF return.

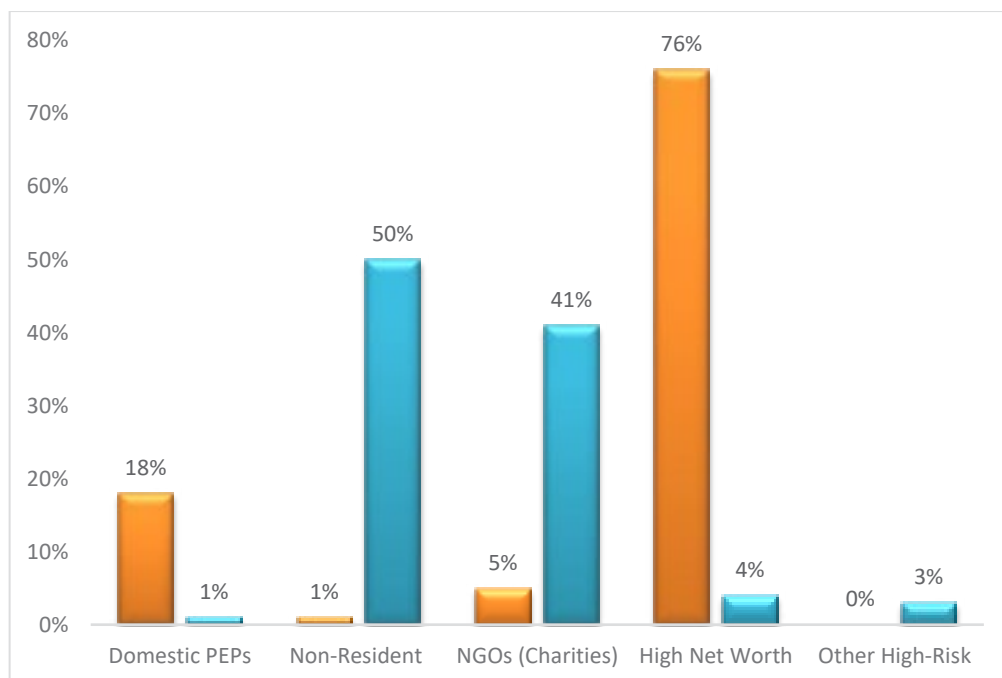
Assessment of ML/TF/PF Inherent Risk Factors and Controls

24.2. Life insurers continue to register an improvement in the identification of high-risk customers. In Q4 2024, 11 out of 12 entities risk profiled their clients, compared to 10 entities in Q4 2023.

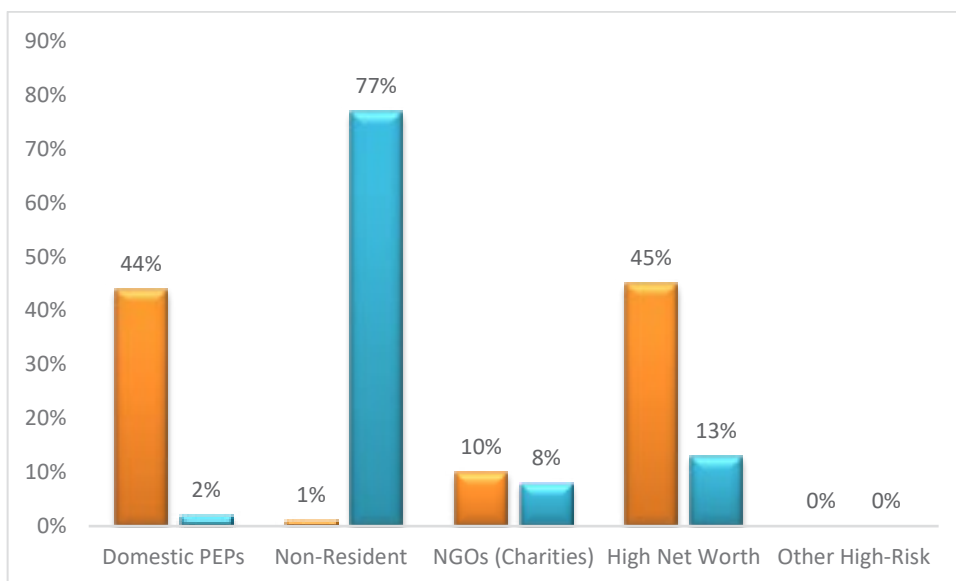
Client Risk

24.3. The total business written attributable to high-risk customers amounted to ZWG10,558,278 and USD1,822,655 for the quarter under review¹. A graphical representation of the share of business written by high-risk clients is provided in the figure below.

Figure 14: Share of High-Risk Clients Business Written & Clients



¹ The amounts refer to high risk clients only and not the total business written which include those posing no risk.

Figure 15: Share of High-Risk Clients

- 24.4. Non-resident clients and non-governmental organisations (NGOs) such as charities and churches accounted for the greatest share of the high-risk USD business written, constituting 50% and 45%, respectively. It is important to note that one entity accounted for 99% of the non-resident clients' business written, involving funeral services.
- 24.5. High net worth clients and domestic Politically Exposed Persons (PEPs) accounted for the largest share of ZWG business written from high-risk clients at 76% and 18%, respectively. Domestic PEPs accounted for 44% of ZWG high-risk clients and only 2% of USD high-risk clients. No foreign PEPs were reported in the life sector. High-net-worth individuals accounted for 45% of high-risk ZWG clients and 13% of USD high-risk clients.
- 24.6. The existence of high-risk customers and the significant amount of business written support the need for life assurers to continue applying enhanced due diligence measures. Verification of the source of funds and management approvals should be established prior to either onboarding such clients or at the claim's payout stage.

Product Risk

- 24.7. Products with minimal exposure to money laundering risks continue to dominate the market. Funeral products accounted for 70.82% of business written in ZWG terms, while group life assurance represented 15.93%. Conventional life assurance products accounted for 5.74% and other products 7.51%, these pose moderate to high ML risk.
- 24.8. Despite the prevalence of lower-risk products, the presence of high-risk conventional life assurance products necessitates thorough risk assessments due to their vulnerability to money laundering. Life assurers should implement appropriate mitigation strategies, including enhanced monitoring of high-value policyholders and frequent transaction reviews.

Use of Intermediaries

- 24.9. Intermediaries continue to play an essential role in the life assurance sector, with agents being the widely used delivery channel. Of the 12 life companies, 11 use agents, 4 work with brokers and 2 leverage bancassurance. Only 1 assurer relies solely on direct clients.
- 24.10. In terms of the value of business, agents handled over 71% of the life assurer's USD business and 20% of ZWG. Life assurers must ensure that agents and brokers are complying with AML/CFT requirements. Agents should be included in AML/CFT training programmes.

High-Risk Jurisdictions

- 24.11. One entity reported having clients in high-risk jurisdictions as identified by the Financial Action Task Force (*countries with strategic deficiencies in their Anti-Money Laundering and Counter-Financing of Terrorism frameworks*). However, the specific product offered by the entity in these jurisdictions is of low risk.
- 24.12. Five life insurance companies had branches in domestic high-risk areas, regions associated with artisanal gold mining. Illegal dealing in precious stones and precious metals is among the top 5 predicate offences in Zimbabwe.

24.13. Enhanced Due Diligence (EDD) measures must be applied for cross-border transactions, and for high-risk local clients where appropriate. Institutions must keep up to date with updates on high-risk jurisdictions listed by the Financial Action Task Force to ensure compliance with AML/CFT regulations when dealing with clients in high-risk regions.

Source of Funds

24.14. The primary sources of funds for life assurance business are summarised in the figure below.

Figure 16: Source of Funds



24.15. Salaried individuals make up the largest share of clients and the value of business written. For Q4 of 2024, they accounted for 70% of ZWG and 79% of USD values. Self-employed accounted for 25% ZWG and 6% USD values. Formal business 6% ZWG and 12% USD business written.

24.16. The heavy reliance on salaries as a funding source indicates a generally lower-risk profile. However, the presence of self-employed individuals introduces a layer of complexity, given the high level of formalisation in the economy. Life insurers should apply appropriate customer due diligence depending on the level of risk posed by a customer.

Transaction Modes

- 24.17. Most business payments were made electronically. Three companies reported that they receive all their premiums through electronic payment channels, while nine insurers allow both cash and digital payment options. Cash transactions accounted for 7% of ZWG and 45% of USD business. However, for life assurers affiliated with banks, cash was deposited by the policyholder into the life assurers' bank accounts. The cash premiums are predominantly of low value and, hence, present low ML risk.
- 24.18. About 2% of business, particularly funeral, came through bancassurance schemes. Life assurers must ensure that sufficient CDD is conducted, and information is maintained.
- 24.19. Electronic transactions support transparency and traceability in business payments, whilst cash transactions present potential ML risks. Entities must, therefore, encourage the use of electronic payment methods.

Suspicious Transactions and Large Cash Transactions

- 24.20. During the fourth quarter of 2024, one life assurer filed an STR with the FIU, and two entities filed large cash transactions. Life companies are encouraged to use technology to detect unusual transaction patterns, flag high-risk cases in real time and conduct more thorough assessments of clients engaging in large cash transactions.

United Nations Security Council Resolutions Sanctions Screening

- 24.21. Six life assurers indicated that they screen their clients against the UNSCR sanctions lists on an ongoing basis. However, the other half does not conduct regular screening but only as and when there are updates issued by the FIU.
- 24.22. Existing customer databases should be subjected to screening whenever there is a new update on the UNSCR Sanctions list, and new clients at the time of onboarding.

24.23. The life assurance companies have demonstrated continued improvement in client risk profiling. However, further enhancements are needed in the following areas:

- i. Regularly review institutional risk assessments whenever there are material changes in the entity, including the introduction of new products and delivery channels as well as modification of existing products to ensure that all possible risks are accurately profiled and appropriate mitigation measures are instituted. Risk assessment reports must be submitted to the Commission for review.
- ii. Perform enhanced due diligence on high-risk clients.
- iii. Improve monitoring and reporting mechanisms for suspicious transactions to ensure timely detection and reporting.
- iv. Encourage digital transactions while implementing stricter oversight for cash transactions.
- v. Conduct independent assurance on AML/CFT systems, programmes and processes.
- vi. Conduct UNSCR sanctions screening on an ongoing basis when onboarding new clients.

24.24. Ongoing monitoring remains key to reducing money laundering and terrorist financing risks in the life assurance sector. Failure to implement AML/CFT obligations will result in penalties being levied on entities, their employees or both for non-compliance.

25. Conclusion

- 25.1. Direct life assurers reported insurance revenue amounting to ZWG3.15 billion, equivalent to US\$175 million. The life assurance sector has been narrowing the gap with the short-term sector, which has dominated the insurance industry in terms of revenue for the past 5 to 6 years. In US\$ terms the gap has narrowed from a difference of US\$189 million in 2021 to a difference of US\$93 million in 2024. If the current relative economic stability continues, we expect the Life assurance sector to continue narrowing the gap into the future, as the insuring public slowly gains the once lost confidence in life assurance products.
- 25.2. Funeral assurance and group life assurance were the primary revenue sources, contributing 86.75% of the total revenue, consistent with the prior years' trend. The dominance of funeral assurance and group life assurance products is expected to continue into the foreseeable future, given the current trend, where life assurers' new product applications are mainly for funeral assurance and group life assurance. The Commission calling for product diversification to reduce concentration risk.
- 25.3. The total industry assets for the life assurance sector decreased by 10% compared to the same period last year, primarily due to exchange rate fluctuations. However, there is a notable increase in investments in prescribed assets, which the Commission is pleased with and continues to encourage the market to invest in. If the relative stability that has been experienced since the beginning of 2025 is to persist, we expect industry assets to be on an upward trend, as the currency distortion becomes minimal, equity investments move towards their intrinsic values, while properties realise their true economic values. Thus, enhanced efficiency in price discovery in the main financial markets will likely drive up the relatively depressed asset prices in the short to medium term.

- 25.4. Despite facing economic headwinds for most of 2024, the life insurance sector demonstrated remarkable resilience and growth in several areas. The sector remained sound, achieving a sector soundness score of 79.26 out of 100, and was fairly compliant with regulations, with a compliance score of 75.20. Despite hurdles such as hyperinflation and low disposable incomes, the sector's ability to adapt and thrive highlights its potential for continued success and stability. To unlock the sector's full growth potential, it is imperative to develop products precisely tailored to customer needs. This approach ensures greater customer satisfaction, fosters loyalty and drives sustained growth.
- 25.5. Looking ahead, the life assurance industry needs to introspect and develop bankable strategies to boost both top-line and bottom-line growth. Global events, such as the significant reduction in aid from the United States, will likely impact the ability of some Non-Governmental Organisations to maintain group life and funeral assurance policies for their workers, as well as reduce the net disposable incomes of employees in the sector.



Section H | APPENDICES

SECTION H

APPENDICES

APPENDIX A1. STATEMENT OF COMPREHENSIVE INCOME FOR LIFE ASSURERS FOR THE 12 MONTHS ENDED 31 DECEMBER 2024 - ZWG Million.

	CBZ Life	Doves Life	Econet Life	Evolution Life	Fidelity Life	First Mutual Life	Heritage Life	Nhaka Life	Nyaradzo Life	Old Mutual Life	ZB Life	Zimnat Life	Total
Insurance Revenue	99.22	437.45	164.97	4.61	171.29	319.43	2.52	13.92	1,449.27	221.73	43.80	224.17	3,152.37
Revenue from contracts measured under the PAA	29.14	-	163.92	-	23.13	318.01	2.52	13.92	-	221.73	62.35	224.17	1,058.89
Revenue from contracts measured under the GMM	70.07	437.45	1.05	4.61	148.16	-	-	-	1,449.27	-	18.70	-	2,091.91
Expected incurred claims	-	172.24	-	4.30	72.37	-	-	-	944.56	-	17.68	-	1,175.79
Change in risk adjustment for non financial risk	70.07	22.89	-	0.07	7.12	-	-	-	75.33	-	1.80	-	173.68
CSM recognised in P&L for the services provided	-	166.19	1.05	0.18	68.66	-	-	-	284.01	-	0.39	-	520.48
Insurance acquisition cashflows recovery	-	76.12	-	0.07	-	-	-	-	145.36	-	0.39	-	221.95
Revenue from contracts measured under the VFA	0.00	-	-	-	-	1.41	-	-	-	-	0.16	-	1.57
Expected incurred claims	-	-	-	-	-	0.81	-	-	-	-	0.06	-	0.87
Change in risk adjustment for non financial risk	0.00	-	-	-	-	0.02	-	-	-	-	1.04	-	1.02
CSM recognised in P&L for the services provided	-	-	-	-	-	0.58	-	-	-	-	0.81	-	1.38
Insurance acquisition cashflows recovery	-	-	-	-	-	-	-	-	-	-	0.34	-	0.34
Insurance service expenses from insurance contracts issued:	-	73.27	232.97	169.69	4.76	83.82	163.31	0.23	3.69	922.29	86.94	43.79	1,881.54
Incurred claims	-	26.78	154.17	92.03	0.98	35.28	69.12	0.23	3.57	819.34	38.72	9.61	1,320.41
Insurance contract expenses	-	36.80	77.57	-	3.18	31.69	71.36	-	0.12	-	48.22	28.10	263.27
Insurance contract acquisition cashflows	-	9.68	1.23	71.12	0.07	16.84	20.55	-	-	57.82	-	0.73	178.05
Adjustments to liabilities for incurred claims	-	-	-	6.52	-	-	2.27	-	-	-	-	5.35	14.14
Losses (and reversal of losses) on onerous insurance contracts	-	-	-	0.01	0.53	-	-	-	45.13	-	-	-	45.67
Insurance service result before reinsurance	25.95	204.49	4.72	0.15	87.47	156.12	2.28	10.22	526.98	134.80	0.01	127.38	1,270.84
Allocation of reinsurance premiums (net of reinsurance commission)	6.92	-	8.13	-	7.49	4.80	-	0.51	-	18.94	5.76	24.60	77.16
Amounts recoverable from reinsurers for incurred claims	0.59	-	2.64	-	3.38	0.31	-	-	-	2.33	-	1.35	10.60
Net income / (expense) from reinsurance contracts held	6.33	-	5.48	-	4.12	4.50	-	0.51	-	16.62	5.76	23.25	66.56
Insurance service result	19.62	204.49	10.20	0.15	83.35	151.62	2.28	9.71	526.98	118.18	5.75	104.13	1,204.27
Interest received	4.29	-	3.78	-	0.36	26.48	-	-	49.57	40.92	4.59	1.55	130.82
Quoted equities - fair value adjustments	15.69	-	79.38	-	11.31	11.13	0.38	-	59.66	446.45	6.06	33.38	618.56
Unquoted equities - fair value adjustments	-	-	25.96	-	-	-	-	0.09	11.07	91.44	134.45	79.02	342.03
NAV movements in group companies	-	-	-	-	-	631.32	-	-	-	-	18.65	-	612.66
Dividend income	-	-	4.22	-	0.17	51.68	-	0.01	7.48	420.85	4.57	19.86	508.84
Rental income	-	4.12	0.81	-	6.35	-	-	-	1.13	355.49	2.86	-	370.77
Net foreign exchange income / (expense)	-	-	-	-	9.14	13.90	-	-	-	657.84	1.26	10.06	664.40
Other Income	43.82	0.04	2.14	0.20	189.60	15.35	0.02	37.61	154.37	627.62	43.69	47.46	1,074.28
Total Investment Income	23.85	4.16	116.29	0.20	193.60	562.85	0.40	37.72	283.28	2,640.62	216.13	191.32	3,097.03
Insurance finance income (expenses) for insurance contracts issued	-	0.81	0.01	0.07	-	595.41	0.01	2.25	-	-	138.03	-	455.85
Reinsurance finance income (expenses) for reinsurance contracts	-	-	-	-	-	-	-	-	-	-	-	-	-
Net insurance financial result	-	0.81	0.01	0.07	-	595.41	0.01	2.25	-	-	138.03	-	455.85
Net investment result	23.85	4.97	116.27	0.13	193.60	32.57	0.39	35.47	283.28	2,640.62	78.11	191.32	3,552.88
Administrative Expenses (indirectly linked to insurance service provision)	3.35	71.06	12.50	0.99	116.38	171.66	0.69	13.79	656.03	-	68.37	201.89	1,316.70
Fair value adjustments (negative)	-	-	-	-	-	-	-	17.64	-	-	-	-	17.64
Other Expenses	17.78	2.76	24.21	-	5.32	5.88	1.19	9.99	-	76.91	-	3.18	74.99
Total for other Expenditure	21.13	73.83	11.71	0.99	121.70	177.54	1.88	13.84	656.03	76.91	68.37	205.07	1,224.07
Profit (Loss) before tax	25.36	135.63	117.79	1.01	154.76	6.64	0.79	59.03	154.24	2,835.71	3.48	89.26	3,530.51
Taxation	0.33	-	-	-	0.49	0.006	0.098	-	-	-	0.51	1.13	2.57
Profit (Loss) after tax	25.69	135.63	117.79	1.01	154.76	6.64	0.69	59.03	154.24	2,835.71	3.48	89.26	3,530.51
Other Comprehensive Income for the year	-	-	-	-	-	-	-	-	-	-	1.37	-	1.37
Total Comprehensive Profit/(Loss) Attributable to Shareholders	25.69	135.63	117.79	1.01	154.76	6.64	0.69	59.03	154.24	2,835.71	2.11	89.26	3,529.15

APPENDIX A2. STATEMENT OF FINANCIAL POSITION FOR LIFE ASSURERS AS AT 31 DECEMBER 2024 - ZWG Million

	CBZ Life	Doves Life	Econet Life	Evolution Life	Fidelity Life	First Mutual Life	Heritage Life	Nhaka Life	Nyaradzo Life	Old Mutual Life	ZB Life	Zimnat Life	Total
Assets													
Non-Current Assets													
Intangible Assets	-	-	-	-	-	-	-	1.29	-	-	1.55	0.30	3.15
Property, Plant and Equipment	27.29	61.01	5.97	0.58	21.31	4.85	0.01	3.27	1,171.22	66.22	2.62	13.71	1,378.05
Investment Property	130.18	225.08	3.24	53.56	625.91	-	0.07	74.71	171.76	724.50	82.87	-	2,091.89
Investments: Quoted equities	56.85	13.27	92.43	0.27	9.64	461.43	0.38	0.29	82.25	2,055.66	635.08	25.98	3,433.53
Unquoted equities	11.52	4.11	31.46	99.41	701.41	71.95	-	-	-	430.33	173.42	199.70	1,723.32
Bonds	-	0.11	-	-	10.03	26.72	-	-	-	32.33	87.45	11.19	167.83
Deferred tax asset	-	-	-	1.83	-	-	-	-	-	-	-	-	1.83
Deferred acquisition costs Assets (excluding Asset for Insurance Acquisition Cash Flows, but including any DAC previously used to spread acquisition costs)	-	-	-	-	-	-	-	-	-	-	-	-	-
Insurance Contract Assets	-	-	-	-	-	-	-	-	-	-	-	-	-
Reinsurance Contract Held Assets	-	-	-	-	-	-	-	-	-	-	-	-	-
Other Non-Current Assets	-	-	21.43	-	3.51	2,039.60	-	110.88	-	-	16.05	53.68	2,245.14
Total Non Current Assets	225.84	303.59	154.53	155.66	1,371.81	2,604.55	0.47	190.44	1,425.23	3,309.04	999.04	304.56	11,044.75
Current Assets													
Insurance Contract Assets	60.10	1.05	5.82	0.00	-	18.77	-	-	-	-	-	-	85.74
Reinsurance Contract Held Assets	1.93	-	0.95	-	-	-	-	-	-	-	-	-	2.88
Money market investments	23.98	-	53.10	-	-	99.50	-	-	18.76	59.55	11.94	9.68	276.50
Other Short Term Investments	-	0.01	-	0.00	-	-	-	12.90	177.39	-	-	-	190.30
Other receivables	18.09	11.56	0.33	-	195.88	0.73	0.00	6.20	276.55	167.88	11.62	98.81	787.65
Cash and Bank Balances	12.33	21.86	44.07	0.21	18.31	39.26	0.09	0.03	46.54	60.69	3.25	24.58	271.23
Other Current Assets	-	24.69	8.17	2.69	154.85	0.31	0.88	-	534.80	61.63	0.13	-	788.14
Total Current Assets	116.43	59.18	112.43	2.90	369.04	158.56	0.97	19.13	1,054.03	349.74	26.95	133.07	2,402.44
Total Assets	342.27	362.77	266.96	158.56	1,740.84	2,763.11	1.44	209.57	2,479.26	3,658.78	1,025.99	437.63	13,447.19

APPENDIX A2. STATEMENT OF FINANCIAL POSITION FOR LIFE ASSURERS AS AT 31 DECEMBER 2024 - ZWG Million Cont....

	CBZ Life	Doves Life	Econet Life	Evolution Life	Fidelity Life	First Mutual Life	Heritage Life	Nhaka Life	Nyaradzo Life	Old Mutual Life	ZB Life	Zimnat Life	Total
Liabilities and Equity													
Current Liabilities													
Insurance Contract Liabilities:	6.51	-	28.68	6.42	-	17.06	0.37	1.72	-	-	-	-	60.78
Best Estimate Liability (BEL)	-	-	28.67	13.74	-	3.98	-	1.72	-	-	-	-	20.64
Risk Adjustment (RA)	1.22	-	0.01	5.41	-	1.19	-	-	-	-	-	-	7.84
Contractual Service Margin (CSM)	5.29	-	-	14.75	-	11.90	0.37	-	-	-	-	-	32.31
Reinsurance Contract Held Liabilities:	0.12	-	1.64	-	-	-	-	-	-	-	-	-	1.76
Best Estimate Liability (BEL)	-	-	1.64	-	-	-	-	-	-	-	-	-	1.64
Risk Adjustment (RA)	-	-	-	-	-	-	-	-	-	-	-	-	-
Contractual Service Margin (CSM)	0.12	-	-	-	-	-	-	-	-	-	-	-	0.12
Related party payables	-	-	90.56	-	-	46.18	0.00	-	-	-	20.25	9.20	166.19
Current provisions	-	-	8.78	-	-	-	-	0.53	-	-	3.42	1.75	14.49
Finance lease obligations	-	-	-	-	-	19.57	-	0.59	-	-	-	9.85	30.02
Bank Overdrafts	-	-	-	-	-	-	0.04	-	-	-	-	-	0.04
Payables Arising from Retrocession Arrangements	-	-	-	-	-	-	-	-	-	-	-	-	-
Other payables	10.89	8.47	2.45	-	-	60.66	0.03	10.98	-	-	-	72.81	166.31
Total Current Liabilities	17.52	8.47	132.13	6.42	-	143.47	0.45	13.83	-	-	23.68	93.61	439.58
Non-current liabilities													
Insurance Contract Liabilities:	-	36.51	-	-	130.15	1,660.46	-	-	1,420.26	617.01	316.56	2.22	4,183.17
Best Estimate Liability (BEL)	-	36.51	-	-	3,034.62	1,584.51	-	-	2,384.32	608.13	258.43	2.22	1,839.51
Risk Adjustment (RA)	-	-	-	-	49.57	1.96	-	-	95.37	8.88	5.71	-	161.49
Contractual Service Margin (CSM)	-	-	-	-	3,115.20	73.99	-	-	1,059.43	-	52.42	-	2,182.18
Reinsurance Contract Held Liabilities:	-	-	-	-	-	-	-	-	-	1.44	13.19	1.38	13.13
Best Estimate Liability (BEL)	-	-	-	-	-	-	-	-	-	1.42	0.20	1.38	0.16
Risk Adjustment (RA)	-	-	-	-	-	-	-	-	-	0.02	0.02	-	0.00
Contractual Service Margin (CSM)	-	-	-	-	-	-	-	-	-	-	12.97	-	12.97
Long Term Loans	-	18.77	-	-	28.39	-	-	-	-	-	-	2.84	50.00
Provision for investment contract liabilities	16.72	-	0.81	-	713.95	217.38	-	116.06	-	-	470.32	-	1,535.24
Deferred Tax liability	-	0.15	-	-	-	3.07	-	-	90.52	-	-	6.67	100.42
Other Liabilities	-	-	0.45	-	196.84	74.49	0.17	10.22	-	-	12.72	-	294.89
Total Non - Current Liabilities	16.72	55.42	1.26	-	1,069.33	1,955.41	0.17	126.28	1,510.78	615.57	812.79	13.11	6,176.85
Total Liabilities	34.24	63.89	133.39	6.42	1,069.33	2,098.88	0.62	140.11	1,510.78	615.57	836.46	106.72	6,616.43
Share Capital and Reserves													
Share Capital	0.00	1.00	0.00	0.00	28.10	0.00	0.00	0.00	0.00	0.00	0.57	0.00	29.68
Share Premium	35.55	-	0.00	0.00	17.32	38.73	-	0.01	-	0.47	10.86	0.01	102.96
Insurance finance reserve	-	-	-	-	835.26	-	-	-	-	-	-	-	835.26
Investment Reserve	-	-	-	-	-	-	0.09	12.90	-	-	21.85	-	34.84
Revaluation Reserve	24.28	3.70	3.80	0.10	0.53	-	-	-	1,010.70	0.01	10.15	-	1,053.26
Non Distributable Reserve	5.33	-	-	0.00	935.81	17.36	0.00	0.02	0.00	0.01	-	0.05	923.85
Retained Earnings Prior Years	268.55	158.54	11.98	153.06	336.17	634.81	0.04	2.50	105.69	207.02	143.99	241.59	2,047.56
Retained Earnings - Current Period	25.69	135.63	117.79	1.01	145.41	6.64	0.69	59.03	154.24	2,835.71	2.11	89.26	3,519.80
Minority Interest	-	-	-	-	-	-	-	-	-	-	-	-	-
Other	-	-	-	-	43.43	-	-	-	90.77	-	-	-	47.34
Shareholders' Equity	308.03	298.87	133.57	152.14	671.51	662.82	0.82	69.46	968.48	3,043.21	189.52	330.91	6,829.35
Total Equity and Liabilities	342.27	362.77	266.96	158.56	1,740.84	2,761.70	1.44	209.57	2,479.26	3,658.78	1,025.99	437.63	13,445.78

APPENDIX A3. STATEMENT OF COMPREHENSIVE INCOME FOR LIFE REASSURERS FOR THE 12 MONTHS ENDED 31 DECEMBER 2024 - ZWG Million.

	Emeritus Reinsurance	FBC Reinsurance	First Mutual Reinsurance	ZEP Reinsurance	Total
Insurance Revenue	62.96	35.41	20.11	12.64	131.12
Revenue from contracts measured under the PAA	62.96	35.41	20.11	12.64	131.12
Revenue from contracts measured under the GMM	-	-	-	-	-
Expected incurred claims	-	-	-	-	-
Change in risk adjustment for non financial risk	-	-	-	-	-
CSM recognised in P&L for the services provided	-	-	-	-	-
Insurance acquisition cashflows recovery	-	-	-	-	-
Revenue from contracts measured under the VFA	-	-	-	-	-
Expected incurred claims	-	-	-	-	-
Change in risk adjustment for non financial risk	-	-	-	-	-
CSM recognised in P&L for the services provided	-	-	-	-	-
Insurance acquisition cashflows recovery	-	-	-	-	-
Insurance service expenses from insurance contracts issued	57.20	12.00	7.99	8.91	86.10
Incurred claims	18.89	3.14	4.35	8.91	35.29
Insurance contract expenses	9.55	1.83	-	-	11.37
Insurance contract acquisition cashflows	15.64	7.04	3.63	-	26.31
Adjustments to liabilities for incurred claims	13.13	-	-	-	13.13
Losses (and reversal of losses) on onerous insurance contracts	-	-	-	-	-
Insurance service result before reinsurance	5.75	23.41	12.13	3.73	45.01
Allocation of reinsurance premiums (net of reinsurance commission)	4.92	7.68	0.97	0.28	13.86
Amounts recoverable from reinsurers for incurred claims	-	0.28	0.21	0.37	0.86
Net income / (expense) from reinsurance contracts held	4.92	7.40	0.77	0.09	13.00
Insurance service result	0.83	16.01	11.36	3.81	32.01
Interest received	0.18	0.26	0.53	-	0.97
Quoted equities - fair value adjustments	5.18	3.77	0.02	-	1.43
Unquoted equities - fair value adjustments	-	-	-	-	-
NAV movements in group companies	-	-	-	-	-
Dividend income	-	0.69	0.18	-	0.87
Rental income	3.73	-	-	-	3.73
Net foreign exchange income / (expense)	1.28	23.38	1.05	-	23.61
Other Income	5.56	-	-	-	5.56
Total Investment Income	5.57	28.10	0.36	-	33.31
Insurance finance income (expenses) for insurance contracts	-	-	-	0.27	0.27
Reinsurance finance income (expenses) for reinsurance contracts	-	-	-	0.07	0.07
Net insurance financial result	-	-	-	0.20	0.20
Net investment result	5.57	28.10	0.36	0.20	33.11
Administrative Expenses(indirectly linked to insurance services)	3.15	17.71	0.75	0.26	21.87
Fair value adjustments (negative)	-	-	-	-	-
Other Expenses	-	-	-	-	-
Total for other Expenditure	3.15	17.71	0.75	0.26	21.87
Profit (Loss) before tax	3.25	26.40	10.24	3.35	43.25
Taxation	0.01	6.88	-	-	6.87
Profit (Loss) after tax	3.26	19.52	10.24	3.35	36.38
Other Comprehensive Income for the year	-	-	-	-	-
Total Comprehensive Profit/(Loss) Attributable to Shareholders	3.26	19.52	10.24	3.35	36.38

APPENDIX A4. STATEMENT OF FINANCIAL POSITION FOR LIFE REASSURERS AS AT 31 DECEMBER 2024 - ZWG Million

	Emeritus Reinsurance	FBC Reinsurance	First Mutual Reinsurance	ZEP Reinsurance	Total
Assets					
Non-Current Assets					
Intangible Assets	-	-	-	-	-
Property, Plant and Equipment	0.11	-	0.15	-	0.26
Investment Property	55.04	-	-	-	55.04
Investments: Quoted equities	2.76	5.98	25.39	-	34.13
Unquoted equities	-	9.11	-	-	9.11
Bonds	-	-	0.02	-	0.02
Deferred tax asset	0.01	-	-	-	0.01
Deferred acquisition costs Assets (excluding Asset for Insurance Acquisition Cash Flows, but including any DAC previously used to spread acquisition costs)	-	-	-	-	-
Insurance Contract Assets	-	-	-	-	-
Reinsurance Contract Held Assets	-	-	-	-	-
Other Non-Current Assets	2.73	-	-	-	2.73
Total Non Current Assets	60.65	15.09	25.55	-	101.29
					-
Current Assets					
Insurance Contract Assets	-	-	4.66	-	4.66
Reinsurance Contract Held Assets	9.45	-	0.04	4.61	14.10
Money market investments	1.64	37.60	6.86	4.83	50.93
Other Short Term Investments	8.82	0.57	-	-	9.39
Other receivables	21.09	0.34	1.97	9.57	32.98
Cash and Bank Balances	5.07	0.98	1.52	-	7.58
Other Current Assets	3.66	-	-	-	3.66
Total Current Assets	49.74	39.48	15.06	19.01	123.29
Total Assets	110.39	54.56	40.62	19.01	224.59

APPENDIX A4. STATEMENT OF FINANCIAL POSITION FOR LIFE REASSURERS AS AT 31 DECEMBER 2024 - ZWG Million Cont....

	Emeritus Reinsurance	FBC Reinsurance	First Mutual Reinsur	ZEP Reinsurance	Total
Liabilities and Equity					
Current Liabilities					
Insurance Contract Liabilities:	-	-	4.98	-	4.98
Best Estimate Liability (BEL)	-	-	4.98	-	4.98
Risk Adjustment (RA)	-	-	-	-	-
Contractual Service Margin (CSM)	-	-	-	-	-
Reinsurance Contract Held Liabilities:	-	-	0.69	12.88	13.57
Best Estimate Liability (BEL)	-	-	0.69	10.92	11.61
Risk Adjustment (RA)	-	-	-	1.96	1.96
Contractual Service Margin (CSM)	-	-	-	-	-
Related party payables	-	10.43	-	-	10.43
Current provisions	0.09	15.09	-	-	15.18
Finance lease obligations	-	-	-	-	-
Bank Overdrafts	-	-	-	-	-
Payables Arising from Retrocession Arrangements	5.04	-	-	-	5.04
Other payables	1.99	-	0.04	-	2.03
Total Current Liabilities	7.11	25.52	-	12.88	40.46
Non-current liabilities					
Insurance Contract Liabilities:	-	-	-	-	-
Best Estimate Liability (BEL)	-	-	-	-	-
Risk Adjustment (RA)	-	-	-	-	-
Contractual Service Margin (CSM)	-	-	-	-	-
Reinsurance Contract Held Liabilities:	45.05	-	-	-	45.05
Best Estimate Liability (BEL)	45.05	-	-	-	45.05
Risk Adjustment (RA)	-	-	-	-	-
Contractual Service Margin (CSM)	-	-	-	-	-
Long Term Loans	-	-	-	-	-
Provision for investment contract liabilities	-	-	-	-	-
Deferred Tax liability	-	-	-	-	-
Other Liabilities	-	6.88	-	-	6.88
Total Non - Current Liabilities	45.05	6.88	-	-	51.93
Total Liabilities	52.17	32.40	-	12.88	92.39
Share Capital and Reserves					
Share Capital	8.20	-	0.00	-	8.20
Share Premium	105.65	-	7.05	-	112.70
Insurance finance reserve	-	-	-	-	-
Investment Reserve	-	-	-	-	-
Revaluation Reserve	-	128.27	-	-	128.27
Non Distributable Reserve	-	-	-	-	-
Retained Earnings Prior Years	69.38	2.65	28.40	2.78	103.20
Retained Earnings - Current Period	3.26	19.52	10.24	3.35	36.38
Minority Interest	-	-	-	-	-
Other	-	-	0.02	-	0.02
Shareholders' Equity	58.22	22.17	45.68	6.13	132.20
Total Equity and Liabilities	110.39	54.56	40.62	19.01	224.59



Life Assurance Sector Report

for the 12 Months Ended 31 December 2024

160 Rhodesville Avenue, Greendale, Harare Tel: (242) 443358/443361/443322
Cell: 0772 154 281-4 WhatsApp: 0772 154 281
Email: enquiry@ipec.co.zw | Website: www.ipec.co.zw

PROTECTING THE INTERESTS OF INSURANCE AND PENSION CONSUMERS